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REGIONAL ECONOMIC OUTLOOK

ASIA AND PACIFIC

Resilience Amid Uncertainty:
Can it be Sustained?

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Definitions and Country Groupings

In this *Regional Economic Outlook: Asia and Pacific*, the following groupings are employed:

- "ASEAN" refers to the members of the Association of Southeast Asian Nations, and includes Brunei Darussalam, Cambodia, Indonesia, Lao People's Democratic Republic (PDR), Malaysia, Myanmar, the Philippines, Singapore, Thailand, Timor-Leste, and Vietnam, unless otherwise noted.
- "ASEAN-5" refers to Indonesia, Malaysia, the Philippines, Singapore, and Thailand.
- "Advanced Asia" or "AE Asia" refers to Australia, Hong Kong Special Administrative Region (SAR), Japan, Korea, Macao SAR, New Zealand, Singapore, and Taiwan Province of China, unless otherwise noted.
- "Emerging Asia" or "EM Asia" refers to Brunei Darussalam, China, Fiji, India, Indonesia, Malaysia, Maldives, Marshall Islands, Micronesia, Mongolia, Naoero, Palau, the Philippines, Samoa, Sri Lanka, Thailand, Tonga, Tuvalu, Vanuatu, and Vietnam, unless otherwise noted.
- "Low-Income Developing Countries" or "LIC Asia" refers to Bangladesh, Bhutan, Cambodia, Kiribati, Lao PDR, Myanmar, Nepal, Papua New Guinea, Solomon Islands, and Timor-Leste, unless otherwise noted.
- "Pacific Island Countries" refers to Fiji, Kiribati, Marshall Islands, Micronesia, Naoero, Palau, Papua New Guinea, Samoa, Solomon Islands, Tonga, Tuvalu, and Vanuatu, unless otherwise noted.
- "REO-14" represents the major 14 economies in Asia, including Australia, China, Hong Kong SAR, India, Indonesia, Japan, Korea, Malaysia, New Zealand, the Philippines, Singapore, Thailand, Taiwan Province of China, and Vietnam.
- The International Organization for Standardization (ISO) country codes for Asia-Pacific are:

Australia	AUS	Bangladesh	BGD	Bhutan	BTN
Brunei Darussalam	BRN	Cambodia	KHM	China	CHN
Fiji	FJI	Hong Kong SAR	HKG	India	IND
Indonesia	IDN	Japan	JPN	Kiribati	KIR
Korea, Republic of	KOR	Lao PDR	LAO	Macao SAR	MAC
Malaysia	MYS	Maldives	MDV	Marshall Islands	MHL
Micronesia	FSM	Mongolia	MNG	Myanmar	MMR
Naoero	NRU	Nepal	NPL	New Zealand	NZL
Palau	PLW	Papua New Guinea	PNG	Philippines	PHL
Samoa	WSM	Singapore	SGP	Sri Lanka	LKA
Solomon Islands	SLB	Taiwan Province of China	TWN	Thailand	THA
Timor-Leste	TLS	Tonga	TON	Tuvalu	TUV
Vanuatu	VUT	Vietnam	VNM		

The following conventions are used:

- In figures and tables, shaded areas show IMF projections.
- "Basis points" refer to hundredths of 1 percentage point (for example, 25 basis points are equivalent to ¼ of 1 percentage point).
- "Billion" means a thousand million; "trillion" means a thousand billion.

As used in this report, the term "country" does not in all cases refer to a territorial entity that is a state as understood by international law and practice. As used here, the term also covers some territorial entities that are not states but for which statistical data are maintained on a separate and independent basis.

Executive Summary

The outlook for Asia and the Pacific is being shaped by three major factors: the energy shock arising from the conflict in the Middle East, the AI-driven technology boom, and continued trade reconfiguration. The region overall has shown resilience so far. However, the effects are uneven across the region, and even within economies, where tech-related sectors are benefiting more than other parts of the economy. Furthermore, buffers are not unlimited and, going forward, the resilience is likely to be tested.

- Large economies have mitigated disruptions from the oil shocks through inventory drawdowns, diversifying energy sources, and substituting toward alternative energy inputs, supplemented by other policy support. By contrast, many low-income, agricultural, and Pacific island economies have been harder hit, by higher fuel, transport, electricity, and fertilizer costs, despite policy support, intensifying cost-of-living pressures and straining public finances.
- The AI-driven technology boom has provided an important offset for economies in East and Southeast Asia, although the evolution of AI investment and its long-term economic effects are uncertain. Strong global demand for semiconductors, AI infrastructure, and related technology products has boosted exports and investment, particularly in economies integrated into technology supply chains.
- Robust intra-Asian trade, supported by expanding trade agreements and growing services exports, has also reinforced the region's resilience, despite elevated tariffs and export restrictions.

As a result, aggregate regional growth in the first half of 2026 has outperformed earlier projections, but has been uneven across economies. Regional growth is expected to moderate from 5 percent in 2025 to 4.8 percent in 2026, up from 4.4 percent in our April forecasts. Growth projections have been revised up sizably for those benefitting from the ongoing technology boom—notably Korea and several ASEAN economies—and also for China, India, and Japan. Downward revisions have been seen in countries facing higher inflationary pressures without gains from the technology boom, particularly low-income and Pacific Island economies.

Risks remain tilted to the downside. A prolonged conflict in the Middle East could sustain high energy prices. A correction in AI-related investment or asset valuations could weigh disproportionately on Asia given its central role in global technology supply chains. Higher global sovereign yields could spill over to regional bond markets and worsen fiscal vulnerabilities. In addition, a severe El Niño episode could disrupt agriculture, fisheries, and hydropower generation, adding to food and energy inflation. Conversely, stronger productivity gains from AI and deeper trade integration could provide upside potential.

Policies should balance near-term stabilization with rebuilding buffers. Monetary policy should remain focused on price stability and respond promptly where inflationary pressures become more persistent. Fiscal policy should prioritize preserving sustainability while protecting vulnerable households. Targeted and time-bound fiscal measures are preferable to broad-based fuel subsidies or price controls, which can be more costly and weaken price signals and incentives to reduce demand. Supervisors should remain vigilant to market and technology-related risks. Over the medium term, labor market reforms, stronger social safety nets, deeper services trade integration, investment in digital infrastructure and skills, and enhanced energy security will be critical to sustaining growth and promoting a more resilient and inclusive growth model.

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1. Outlook for Asia and the Pacific[1]

The outlook for the Asia-Pacific region is being shaped by three major factors: the energy shock arising from the conflict in the Middle East, the AI-driven technology boom, and continued trade reconfiguration. The region as a whole is projected to grow faster than previously expected, supported by effective adaptation and strong tech demand. At the same time, these factors have widened differences across economies and sectors, and intensified pressures on inflation and fiscal positions, leaving risks tilted to the downside. Policies should focus on preserving macroeconomic and financial stability, rebuilding policy buffers, and strengthening resilience to future shocks.

Recent Developments: Divergent Paths amid Global Shocks

The Asia-Pacific region has navigated a complex external environment in 2026. The region's economic developments and prospects have been shaped by the interaction of three major global factors: an energy shock emanating from the conflict in the Middle East, a global technology boom driven by AI, and continued reconfiguration of global trade patterns following US tariff measures. Overall, the region has been resilient, but there has been divergence across economies and sectors. Even though aggregate regional growth has surprised on the upside, the benefits and costs of these factors have been distributed unevenly across economies, reflecting differences in their exposures and reactions to these shocks. At the same time, some financial markets have been volatile, with vulnerabilities stemming from elevated technology sector valuations, high investor leverage, market concentration, and rising yields.

Three Major Factors Shaping Economic Activity: Energy, Tech, and Trade

The Energy Shock

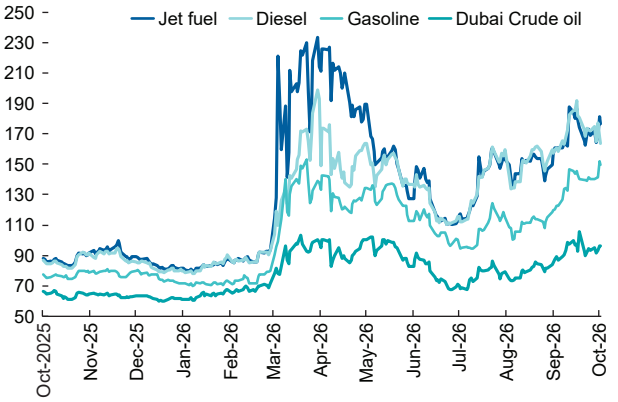
The Asia-Pacific region is highly energy intensive and dependent on oil imports from the Middle East. Crude oil prices have retreated from their peaks in April, but remain elevated and volatile. Price increases for refined products, particularly diesel and jet fuel, and, to a lesser extent, gasoline, have been considerably more pronounced than the rise in crude oil prices, with crack spreads showing a historically large spike after the conflict (Figure 1.1.1). Some economies are particularly vulnerable because of their dependence not only on energy and fuel sources but also industrial inputs such as petroleum products and chemicals (Figure 1.1.2).

Despite this vulnerability, the Asia-Pacific region *overall* has so far weathered the oil shock better than expected when the conflict broke out in February 2026. Some large economies (such as China and Japan) have been able to draw down on oil reserves (Figure 1.1.3). In China, substitution toward other energy sources, including coal and renewables, and weaker demand for oil have helped mitigate supply shortfalls (although part of reduced demand for crude oil in China reflects reduced refinery activity and exports of refined products, such as gasoline, diesel, and jet fuel, to other Asian countries). For other large Asian economies (including India, Japan, and Korea), the resilience in part reflects adaptation by securing oil from alternative sources outside the Middle East (Figure 1.1.4), such that total oil flows to these countries have returned to their pre-conflict rates since June.

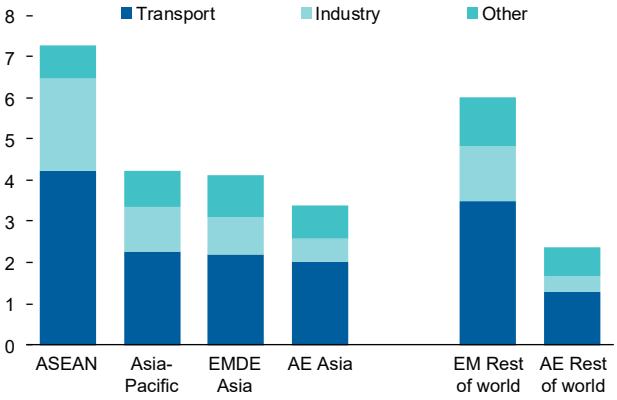
[1] The authors of this chapter are Chikako Baba (lead), Sun Young Park, Narayanan Raman, Masashi Saito, Xiaoxiao Zhang, and Yuanyan Sophia Zhang, with contributions from Fabien Gonguet, Chris Redl, and Ken Teoh, with outstanding research support from Sofia Felici, Assyifa Szami Ilman, and Vyshnavi Thumbala Saikrishnan, and under the guidance of Yan Carrière-Swallow, Andrea Pescatori, and Alasdair Scott.

Figure 1.1. Energy Shocks, Exposures, and Adaptation

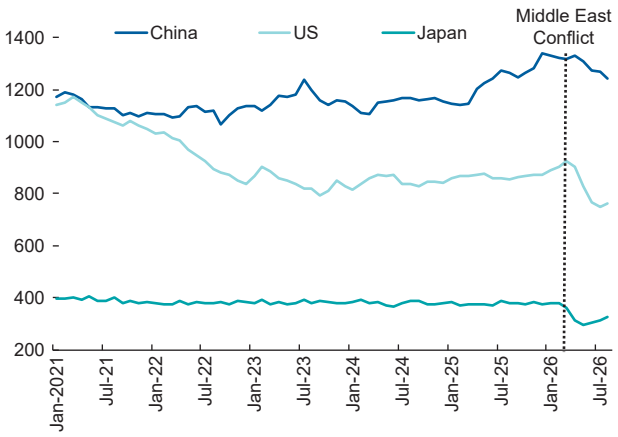
1. Oil Products Prices: Asia
(US dollars per barrel)



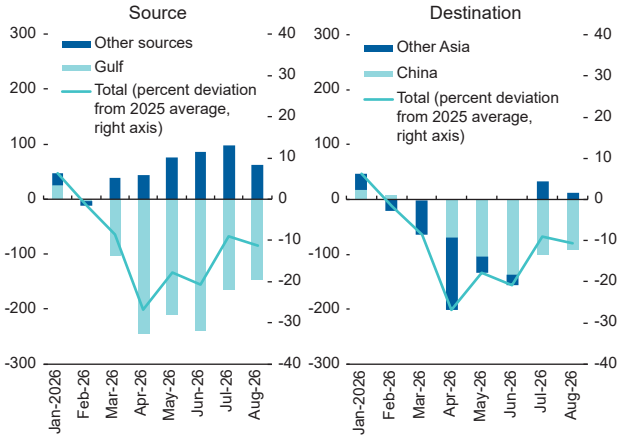
2. Oil and Gas Use
(Percent of GDP)



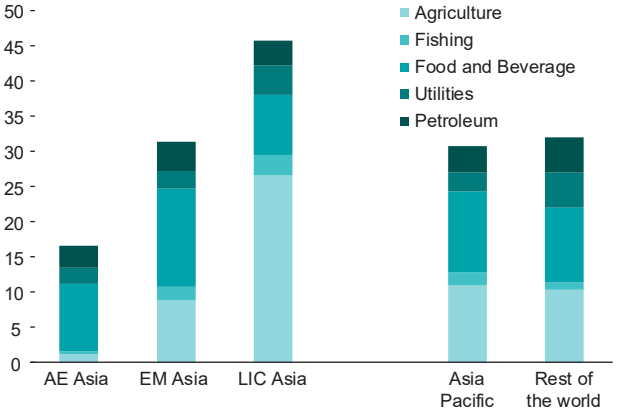
3. Crude Oil Inventory
(Million barrels)



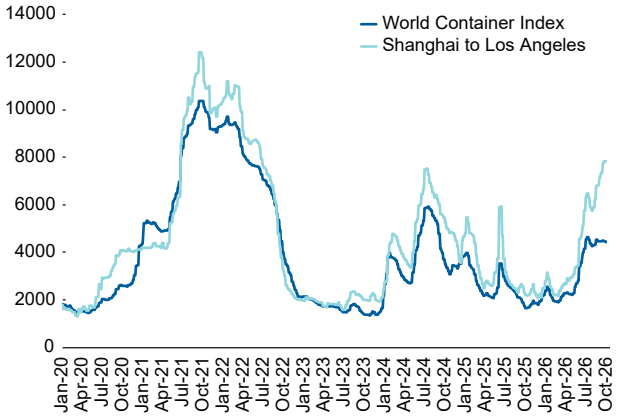
4. Crude Oil Imports by Source and Destination
(Difference from 2025 average, million barrels)



5. Food and Energy in Household Consumption
(Percent)



6. Container Costs
(US dollars per 40-foot container)



Sources: Bloomberg Finance L.P.; Datastream; Energy Institute, International Energy Agency, JODI Oil and Gas World Databases; Eora 2 Common Classification Multi-Regional Input-Output tables, Lenzen and others (2013); Haver Analytics; Kpler; World Economic Outlook; and IMF staff calculations.

Note: For panel 1, oil product prices are based on Asia benchmark prices. For panel 2, data are based on 2024 and 2023. Oil includes crude oil and refined products; natural gas includes pipeline gas and LNG. "Other" includes commercial, residential, and residual categories. Asia-Pacific comprises AUS, BGD, CHN, HKG, IDN, IND, JPN, KOR, LKA, MYS, NPL, NZL, PHL, SGP, THA, and VNM. EM RoW includes ARG, BRA, CHL, COL, EGY, MEX, ZAF. AE RoW includes CAN, CHE, EU27, GBR, ISL, NOR, and USA. Regional values are simple averages over economies. For panel 4, Asia includes REO-14 and BGD and LKA. Gulf countries include ARE, BHR, IRN, IRQ, KWT, OMN, QAT, and SAU. For panel 5, utilities include water supply, gas, and electricity. Regional values are simple average over economies. EM Asia does not include FSM, MHL, NRU, PLW, and TON. Data labels in the figure use International Organization for Standardization (ISO) country codes. AE = advanced economy; ASEAN = Association of Southeast Asian Nations; EM = emerging market; EMDE = emerging market and developing economy; LIC = low-income country.

Adaptation has also extended beyond crude oil: efforts have also been made to substitute petrochemicals imported mainly from the Middle East—most notably fertilizer—with those produced elsewhere.

That said, lower-income and agricultural economies—many already facing cost-of-living stresses (see Chapter 2 of the October 2026 *World Economic Outlook*)—have been hit hard by the crisis, reflecting heavy dependence on imported oil products (Figure 1.1.5) and fertilizers, as well as limited ability to adapt. In Pacific Island countries (PICs), higher transportation costs (Figure 1.1.6) have added further pressures to the prices of imported food and other essential goods, while diesel prices have escalated electricity generation and transportation costs. In economies with large agricultural sectors, such as Cambodia, Indonesia, and Nepal, higher energy and fertilizer prices have raised farming costs, weakened agricultural yields, and weighed on agricultural output. Extensive subsidies and policy support have helped cushion impacts in some economies, but at costs to public finances.

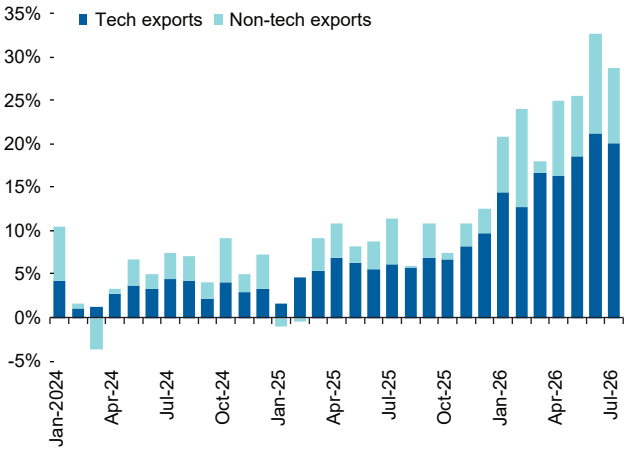
The Technology Boom

Meanwhile, the tech boom has provided a sizable boost to some Asian economies. Amid robust global demand for AI-related and tech products, Asia's tech exports have risen sharply in the first half of 2026 (Figure 1.2.1). Although part of this increase reflects intra-regional trade in intermediate tech products within Asia's supply chains, exports have accelerated to a broad range of destinations. Strong demand for AI infrastructure has driven up demand for semiconductors, with sharp terms of trade gains for producers of advanced logic and memory chips (Korea and Taiwan Province of China) and AI servers and finished products (Taiwan Province of China). Malaysia and Singapore have also increased exports as assemblers and packagers of tech products. Strong investment in building data centers in the region (including China, India, Japan, Indonesia, and Malaysia) has also contributed to growth (Figures 1.2.2 and 1.2.3), and has generated broader demand for intermediate goods from regional suppliers (for example Thailand and Vietnam).

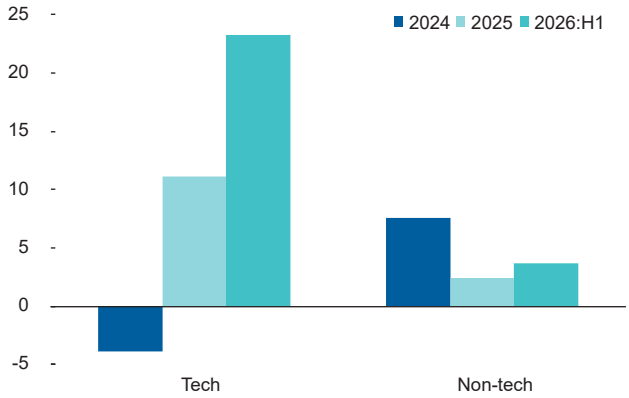
At the same time, the technology boom has fueled both financial market gains and vulnerabilities. Strong earnings among tech firms have driven sharp increases in equity valuations this year in advanced Asian markets, even more so than those of US tech firms (Figure 1.2.4). Globally, rising leverage in AI-related investments has supported the equity rally, while raising the risk of significant market turbulence, as illustrated by recent volatility in Korean equity markets (October 2026 *Global Financial Stability Report*). The sustainability of these valuations depends on continued AI monetization and investment and whether the technology delivers expected productivity gains. Concerns have emerged around technology-firm valuations, the funding of AI-related companies, the costs of AI adoption, and the scope for multiple competitors in the AI market.

Figure 1.2. Technology

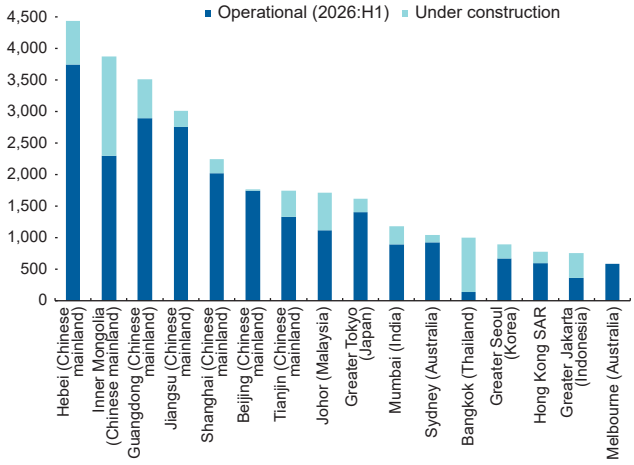
1. Technology versus Non-Technology Exports: Asia
(Percent, contributions to year-over-year growth)



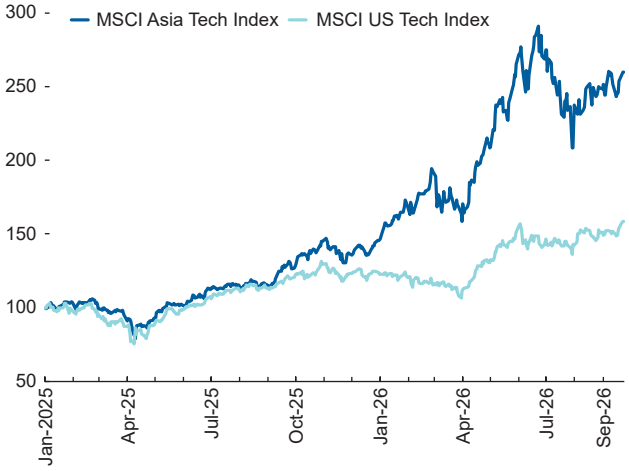
2. Capital Expenditure: Asia Pacific
(Percent, average quarterly year-over-year growth)



3. Data Center Capacity: Asia Pacific
(Megawatt)



4. Tech Stock Market Valuations
(Index; January 2025 = 100)



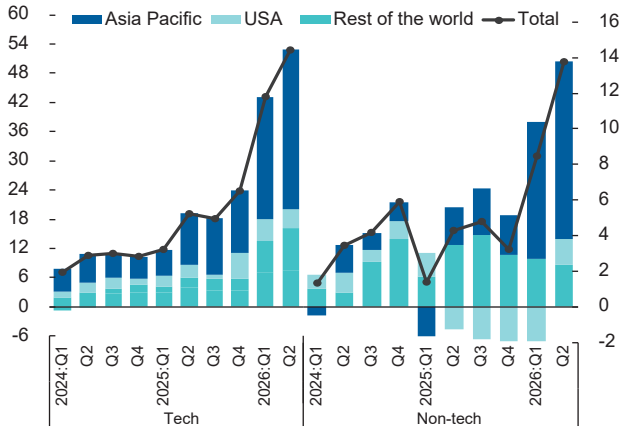
Sources: Bloomberg Finance L.P.; Capital IQ; Cushman and Wakefield "Asia Pacific Data Centre H1 2026 Update"; CBRE "2026 Asia Pacific Data Centre Trends & Outlook"; S&P 451; Trade Data Monitor; and IMF staff calculations.
Note: For panel 1, tech exports include the following HS codes: 8419, 8470–8473, and 85. Asian economies are Regional Economic Outlook-14. For panel 2, capital expenditure is used to define investment. The tech sector is defined as the information technology sector. Sample includes all publicly listed firms from the Asia and Pacific region, excluding real estate. For panel 3, the data for Chinese mainland are from S&P 451 and as of 2026:H1. The data for Melbourne are from CBRE and as of 2026:Q1. For others, the data are from Cushman & Wakefield and as of 2026:H1.

Trade Resilience

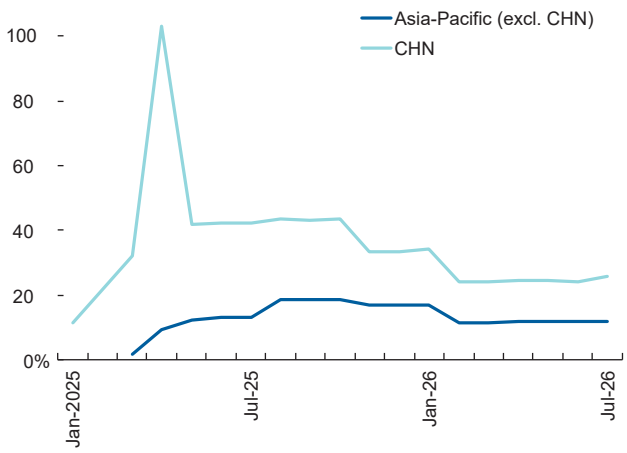
Despite a volatile policy environment, Asia's exports have been resilient in the first half of 2026, even excluding tech-related exports (Figure 1.3.1). US tariffs on Asia-Pacific economies are still high (Figure 1.3.2), while export restrictions have become more prominent, with China introducing export licensing requirements for rare earth elements and the United States expanding restrictions on semiconductors and advanced technologies. Nonetheless, intra-Asian exports have been robust, particularly of goods linked to broader tech-related infrastructure. Chinese exports have continued to reorient toward markets to Europe and other regions, while exports to the United States have recently stabilized after a decline in 2025 (see also Box 1.1 of the October 2026 *World Economic Outlook*). Exports to the United States from the rest of the region remain soft, suggesting that widespread trade rerouting has been limited.

Figure 1.3. Non-Technology Trade

1. Export Growth Contribution by Destination
(Percent, contributions to year-over-year growth)



2. Average US Effective Tariffs on Asia Pacific
(Percent)



Source: IMF-WTO tariff tracker; Trade Data Monitor; and IMF staff calculations.
Note: For panel 1, the sample of countries is Regional Economic Outlook-14. Tech exports include the following HS codes: 8419, 8470–8473, and 85. For panel 2, tariff rates are weighted by import value.

Structural factors also support the resilience of trade in the region. Countries have continued deepening trade ties through bilateral and regional trade agreements, both within the region and with European partners. Around 20 bilateral or multilateral trade agreements involving Asia-Pacific economies were agreed or entered into force in 2025 and 2026. Although their full effects are probably still yet to be seen, they may have helped to facilitate trade reallocation and strengthen regional trade and supply-chain linkages. Moreover, services trade now accounts for roughly one-quarter of the region's total exports (see Chapter 4), and digitalization, rising incomes, and the growing role of services as inputs into manufacturing and global value chains are likely to keep shaping the region's trade landscape.

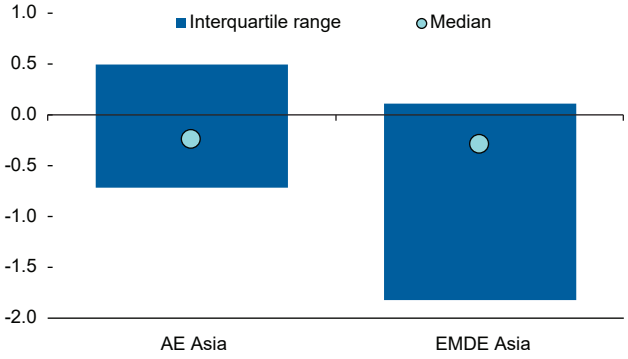
Policy Responses Have Been Diverse

Policy responses have further shaped these outcomes. Fiscal policy has been eased across most economies as the first line of defense against the oil shocks (Figure 1.4.1). A broad range of measures have been used (Box 1.1), ranging from tax cuts on energy products, price controls, subsidies to exposed sectors, to household transfers. These measures have reduced the near-term pass-through of energy price shocks to consumer prices, but at a cost to public finances, weighing more on countries with less fiscal space (Figure 1.4.2). They have been more costly in low-income and Pacific Island countries, reflecting the larger share of energy and food in consumer spending. In several economies, the energy shock has therefore intensified existing fiscal trade-offs, including the need to stabilize debt, finance aging-related spending, and respond to rising development needs.

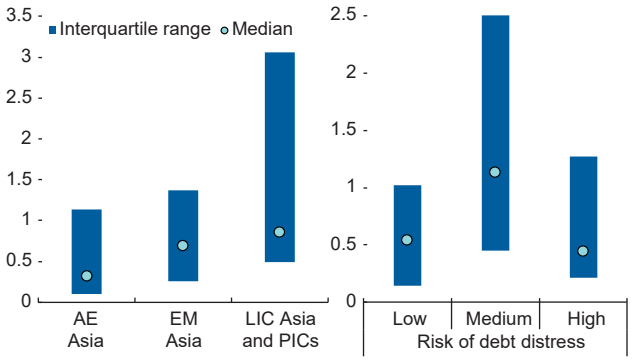
Monetary policy has pivoted toward tightening in advanced economies and some emerging markets, while others have held policy rates (Figure 1.4.3). Monetary conditions were generally accommodative across the region before the energy shock hit, with many economies close to the end of easing cycles. Advanced economies facing inflationary pressures amid stronger cyclical positions (for example, Australia and Korea) have raised policy rates. Emerging markets have reacted more heterogeneously, reflecting differences in inflation dynamics, exchange rate pressures, and policy credibility. The regional policy environment has also been shaped by changing expectations on the US monetary policy path. Amid currency market volatility, several economies have intervened in foreign exchange markets (including India, Indonesia, Japan, Korea, and Sri Lanka), complementing tighter monetary policy in some cases.

Figure 1.4. Fiscal and Monetary Policy Developments

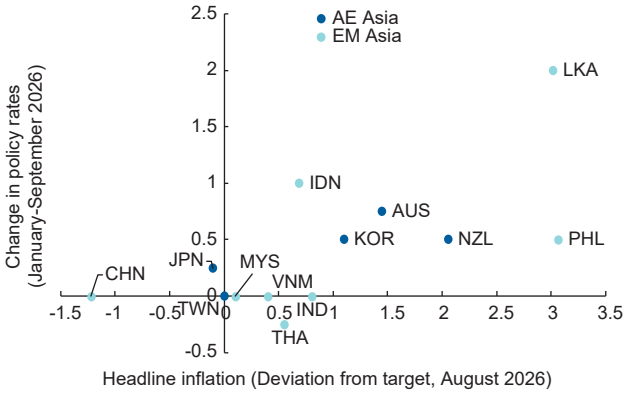
1. Change in Primary Balance Since WEO January 2026 Update
(WEO October 2026 versus WEO January 2026)



2. Reported Fiscal Costs of Energy Shock Measures
(Percent of GDP)



3. Change in Monetary Policy Rates versus Inflation
(Percentage point changes between January and September 2026)



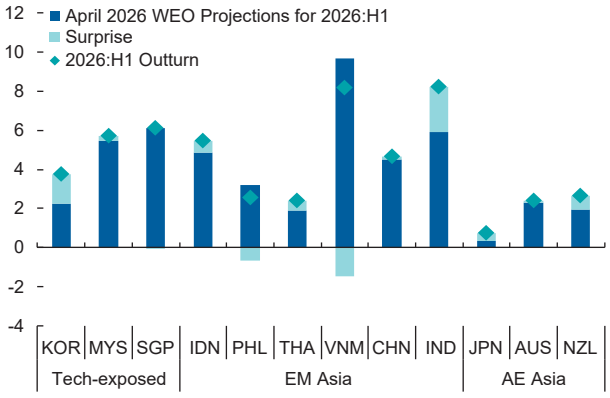
Sources: IMF World Economic Outlook, IMF Global Policy Tracker, Haver Analytics; and IMF staff calculations.
Note: For panel 1, fiscal adjustment is calculated as the change in primary balance between 2025 and 2026. The bars show the distribution of the difference between WEO October 2026 and WEO January 2026 vintage. Primary balance excluding oil and gas was used for BRN. For panel 2, the bars show the interquartile range of the fiscal costs in each category. Low, medium, and high refer to Debt Sustainability Analysis ratings. For panel 3, the inflation target was used for CHN, JPN, KOR, PHL, and VNM. The historical average for 2015–25 was used as the reference benchmark for MYS. For other economies, the midpoint of their target range was used as the central bank target. Data labels in the figure use International Organization for Standardization (ISO) country codes. AE = advanced economy; EM = emerging market; EMDE = emerging market and developing economy; LIC = low-income country; PICs = Pacific island countries; WEO = World Economic Outlook.

Aggregate Regional Growth Has Held Up, with Divergences across Countries

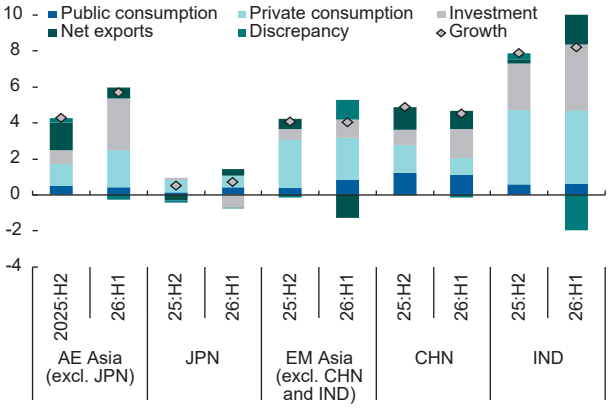
Aggregate growth in Asia-Pacific has been stronger than expected at the start of 2026. GDP growth in the first half of the year has exceeded projections shown in the April 2026 *World Economic Outlook* for most advanced and tech-exposed economies (Figure 1.5.1). However, aggregate resilience masks substantial heterogeneity across countries (Figure 1.5.2) and across sectors, depending on the extent of tailwinds from the tech boom. Advanced economies exposed to the tech boom, especially Korea and Taiwan Province of China, have benefitted from improved terms of trade, leading to strong net exports and larger current account surpluses, despite the energy shocks. But net exports have been a drag on growth in some emerging economies with higher energy import bills and rising costs of tech-related imports for intermediate and capital goods. Domestic demand has remained resilient across many economies, supported, in particular, by robust capital expenditure associated with the AI-driven technology boom. The impact of higher energy prices on private consumption has so far been limited, possibly reflecting fiscal support measures or delays in the transmission of energy costs to consumer prices.

Figure 1.5. Macroeconomic Developments

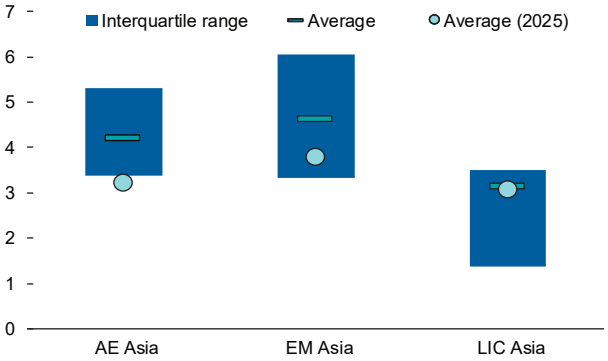
1. Growth Surprises in 2026:H1
(Percent, year-over-year growth)



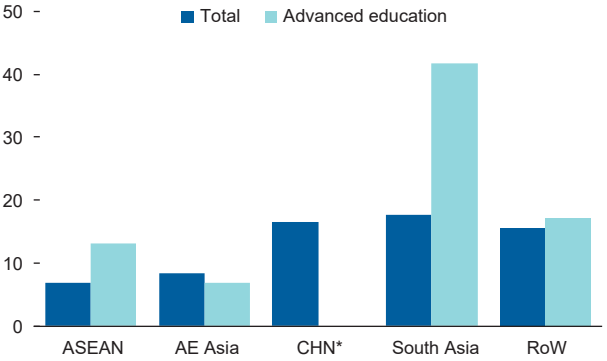
2. Contributions to GDP Growth
(Percent, year-over-year growth)



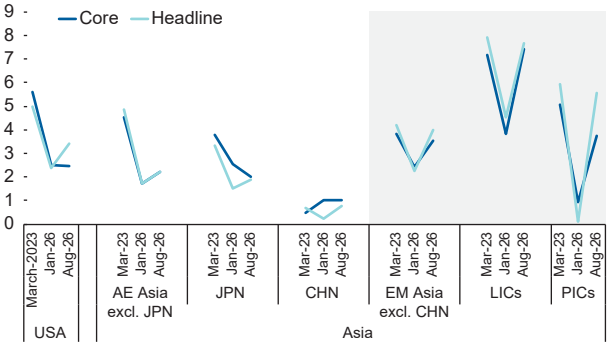
3. Unemployment Rates: Asia-Pacific
(Percent, 2000–2025)



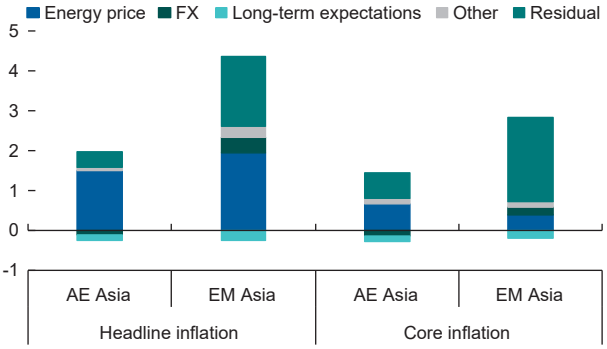
4. Youth Unemployment Rates by Education
(Percent, latest year available)



5. Headline and Core Inflation
(Percent, year-over-year growth)



6. Decomposition of Inflation Drivers, 2026:Q2
(Percentage point deviations from targets; quarter-over-quarter annualized)



Sources: Haver Analytics; International Labour Organization; World Economic Outlook; and IMF staff calculations.
Note: For panel 1, the surprise component is calculated as the difference between the 2026:H1 GDP outturn and the April 2026 *World Economic Outlook* projections. Positive (negative) values indicate growth outcomes above (below) the projections. For panel 2, AE Asia: AUS, HKG, KOR, NZL, SGP, TWN; EM Asia: IDN, MYS, PHL, THA. Chinese mainland (CHN) data is seasonally adjusted, and decomposition of consumption is based on IMF staff estimates. For panel 3, unemployment rates use ILO-modeled estimates. EM Asia excludes FSM, MHL, NRU, and PLW. For panel 4, youth is defined as 15-24 years old. The latest data vary by economy but range between 2023 and 2025. AE Asia: AUS, HKG, KOR, SGP. ASEAN: IDN, PHL, SGP, THA, VNM. South Asia: BGD, IND, LKA. Median is used for regional aggregates. (*) Because of data limitations, CHN's youth unemployment is for the urban population of ages 16–24, excluding students. Data are not available for CHN's youth unemployment rate by age and education. For panel 5, core refers to CPI basket excluding food and energy, fuel, and transport. In Japan, core inflation excludes fresh food and energy. Median values were used for group aggregations. AE and EM Asia cover REO-14 economies, excluding MAC and TWN. LICs exclude KHM, KIR, MMR, SLB, and TLS. Pacific island countries include FJI, PNG, and WSM. Due to data limitation, AUS, NZL, and PNG use 2026Q2 data and BTN uses June 2026 data. LAO's core inflation is not available for 2026. Panel 6 shows simple average contribution of each factor across REO-14 economies. Contributions are calculated based on the dynamic simulations of country-by-country Phillips curve regressions. Methodology is as in Baba and others (2025). Data labels in the figure use International Organization for Standardization (ISO) country codes. AE = advanced economy; ASEAN = Association of Southeast Asian Nations; EM = emerging market; EMDE = emerging market and developing economy; FX = foreign exchange; ILO = International Labour Organization; LIC = low-income country; PIC = Pacific Island countries.

Labor markets across the region are similarly heterogeneous. In many advanced economies with positive output gaps (for example, Australia, Japan, and Singapore), unemployment rates are near historical lows (Figure 1.5.3). In aging advanced economies, shrinking working-age populations contribute to structural labor shortages. By contrast, across emerging and developing economies, where demographic trends imply a need to generate substantial numbers of new jobs, skill mismatches are often high. Many labor markets have high rates of informality, while underemployment among young skilled workers is particularly high in South Asia (Figure 1.5.4; see also Chapter 2).

Inflation has risen across many economies after the energy shock, especially among emerging and developing economies, where inflation rates are nearing the peaks experienced after the 2022-23 energy shock (Figure 1.5.5). The impact has varied considerably across countries, reflecting differences in energy exposure and domestic policy responses. A Phillips curve decomposition (Figure 1.5.6) suggests that most of the recent increase in inflation across Asia and the Pacific can be attributed to global energy prices and, in emerging market economies, currency depreciation. However, inflation has risen more quickly than historical relationships would predict in some economies (for example, the Philippines). Headline inflation has risen fastest among Pacific Island countries, low-income countries, and some emerging market economies (for example, Cambodia, Fiji, Mongolia, Nepal, and Sri Lanka), adding to cost-of-living pressures. In many of these economies, core inflation has also picked up significantly after the energy shock, contrasting with more limited increases in core inflation observed globally. By contrast, the pass-through of higher energy prices to both headline and core inflation has remained relatively contained in most advanced and emerging market economies, partly reflecting the reliance on inventories and the widespread use of price-smoothing measures (for example, Korea, Malaysia, and Thailand).

Long-term sovereign yields have risen by 40-60 basis points in 2026 across most Asian economies (Figure 1.6.1), reflecting a mix of global and country-specific factors.[2] The Federal Reserve and European Central Bank have begun raising policy rates. In advanced Asia, the degree of expected monetary policy tightening has been comparable to that in the United States and Europe, while in emerging market economies risk-free rates have contributed little to rising yields (Figure 1.6.2). The increase in long-term yields has also been driven by a global rise in term premia, associated with a deteriorating fiscal position in most major sovereign issuers (October 2026 *Fiscal Monitor*) and crowding-out from a surge in debt issuance by AI-related firms (October 2026 *Global Financial Stability Report*). These global patterns have been exacerbated by domestic factors in some cases, including market perceptions of higher fiscal risks (Japan) or policy uncertainty (Indonesia). Nonetheless, international bond issuance by Asian emerging market sovereigns has remained robust through 2026 (Figure 1.6.3).

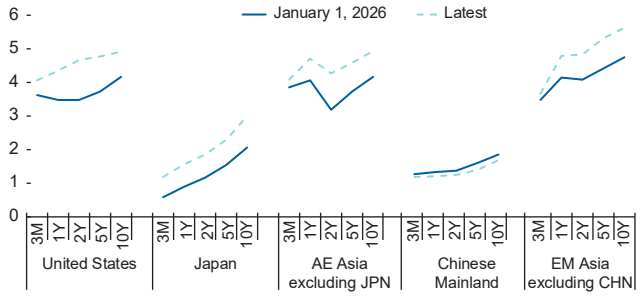
Despite rising sovereign yields, overall financial conditions have on average remained accommodative. In emerging Asia, overall financial conditions tightened immediately after the conflict but have since largely eased, supported by exchange rate adjustments acting as shock absorbers and lower corporate spreads (Figure 1.6.4). In advanced Asia, economies with greater exposure to the technology cycle have benefited from rising stock prices of technology firms (Figure 1.6.5), and narrower corporate bond spreads and exchange rate adjustments have also supported financial conditions.

Exchange rates and capital flows have become more volatile since the energy shock this year. Several emerging market economies experienced depreciation pressures, reflecting multiple factors, particularly in Indonesia, India, Thailand, and the Philippines, although pressures have partially eased over the past few months (Figure 1.7.1). These movements have coincided with portfolio outflows—especially equity outflows, including sizable foreign equity outflows from Korea associated with portfolio rebalancing after sharp valuation gains in technology stocks (Box 1.2)—even as debt inflows to the region have generally remained robust and foreign direct investment inflows have stayed strong in some cases (Figure 1.7.2). Uncertainty over the path of U.S. monetary policy, along with shifts in risk premia driven by geopolitical tensions and their perceived impact on Asian oil importers, has sustained volatility in exchange rates and capital flows.

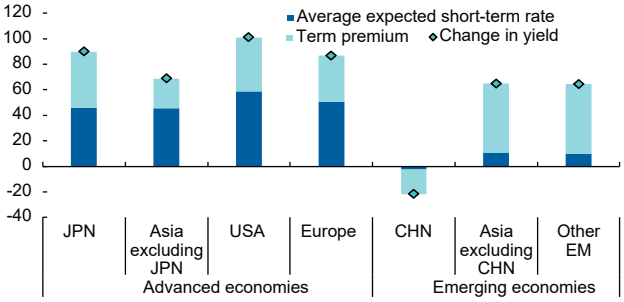
[2] Movements in long-term yields have been small in China in view of a relatively closed capital account.

Figure 1.6. Yields and Financial Conditions

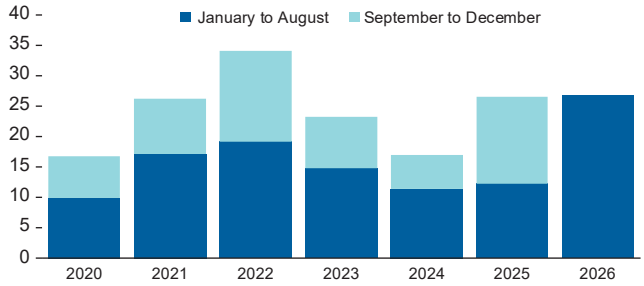
1. Government Bond Yields
(In percent)



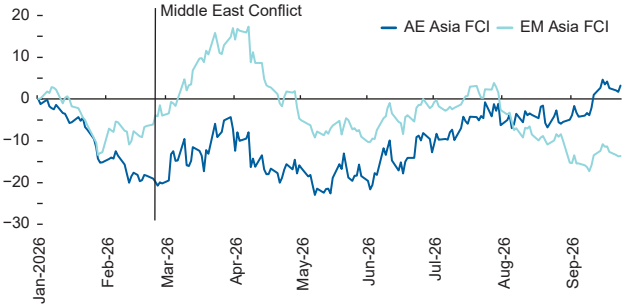
2. Changes in Long-term Yield Composition
(Basis points from December 31, 2025 to September 30, 2026.)



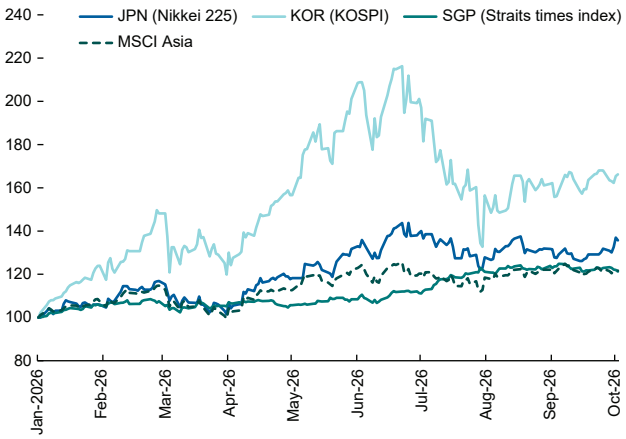
3. EM Asia: Total Sovereign Issuance
(USD billions)



4. Financial Conditions Index - Asia
(+:Tighter conditions; −:Looser conditions)



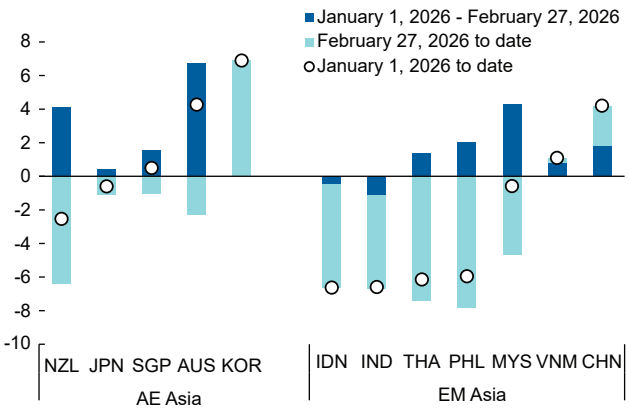
5. Stock Market Index: Asia
(Index; January 1, 2026 = 100)



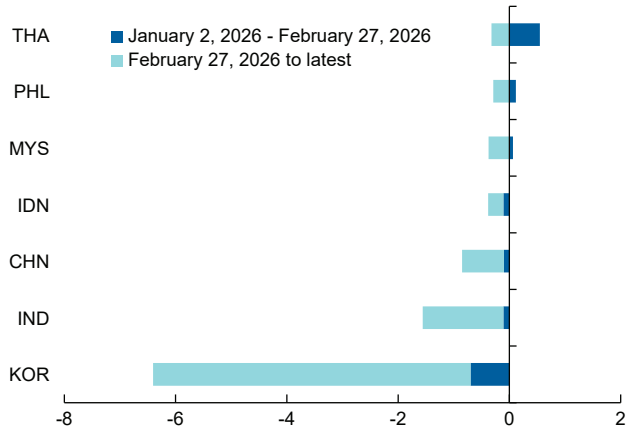
Sources: Bloomberg Finance L.P.; and IMF staff calculations.
Note: For panel 1, AE Asia includes AUS, HKG, KOR, NZL, and SGP. EM Asia includes IDN, IND, MYS, PHL, and THA. There is no data for IDN 3-month government bonds. For panel 2, AE Asia includes AUS, KOR, and NZL and EM Asia includes IDN, IND, MYS, and THA. For panel 4, aggregated series are constructed with individual economy-level cumulative changes in Financial Condition Index (FCI) using stock market capitalization as weights. The latest date is September 18. The FCI captures the cumulative change in financial variables normalized by the standard deviation of daily changes. AE Asia includes HKG, KOR, and SGP; EM Asia includes CHN, IDN, IND, MYS, PHL, and THA. Data labels in the figure use International Organization for Standardization (ISO) country codes. AE = advanced economy; EM = emerging market; FCI = Financial Condition Index; MSCI = Morgan Stanley Capital International.

Figure 1.7. Exchange Rates and Capital Flows

1. Exchange Rate Movement against USD
(Percent change; positive = appreciation)



2. Net Portfolio Flows to Asia
(Percent of IIP liabilities)



Sources: Bloomberg Finance L.P., Haver Analytics; International Institute of Finance; and IMF staff calculations.
Note: For panel 2, all countries include equity and debt flows with the exception of KOR and PHL where debt data are unavailable. The latest data cover until October 2, 2026, except CHN for which the debt data are monthly and cover until August 2026. IIP data are as of 2025:Q4. Data labels in the figure use International Organization for Standardization (ISO) country codes. AE = advanced economy; EM = emerging market; IIP = International Investment Position.

Outlook and Risks: Resilient, but Downside Risks Remain

Improving Prospects

The near-term outlook is underpinned by several key assumptions about global economic conditions: oil supplies return to prewar flows by late 2027, and disruptions to oil exports from the Middle East continue in the meantime. Fuel prices exceed levels assumed in the April 2026 *World Economic Outlook*, nonfuel commodity prices are modestly lower than assumed in the April 2026 *World Economic Outlook*. The AI-driven technology cycle is assumed to moderate, with no exogenous boost to productivity growth, but the demand for AI is assumed to remain robust, with prices settling at higher levels. The U.S. monetary stance is expected to continue to tighten later this year. The combination of monetary policy tightening and fiscal pressures in most major advanced economies is likely to keep upward pressures on yields across Asia and the Pacific. Trade policies remain broadly unchanged through the forecast horizon.

Prospects are better than expected in April 2026 *World Economic Outlook*, reflecting countries' adaptation to external shocks and a stronger-than-expected boost from the technology boom in part of the region. Growth in Asia is forecast to moderate from 5.0 percent in 2025 to 4.8 percent in 2026 and 4.4 percent in 2027—stronger than projected in both the April 2026 and October 2025 *World Economic Outlooks*. The revisions are larger for *advanced Asia*, reflecting greater uplifts from the technology boom. Advanced Asia's growth is projected to rise from 2.5 percent in 2025 to 3.2 percent in 2026 and then moderate to 2.0 percent in 2027. *Emerging Asia* remains the region's main growth engine, but momentum is expected to moderate as higher energy prices weigh on consumption and external positions. Growth projections for emerging Asia show moderation of growth from 5.6 percent in 2025 to 5.1 percent in 2026 and 4.9 percent in 2027, albeit still stronger than those in the April 2026 *World Economic Outlook*. Downward revisions are most pronounced in low-income countries and Pacific Island countries, which face stronger inflationary pressures without benefiting from the tech boom. Growth in 2026 is now projected at 3.7 percent for low-income economies and 2.6 percent for Pacific island countries, compared with 4.4 and 2.8 percent, respectively, in the previous forecast.

Differences across economies reflect differences in position in the global technology value chains, commodity dependence, policy reactions to energy shocks, reliance on remittances, and tourism receipts. Exporters of advanced tech products (such as Korea and Taiwan Province of China) will continue to benefit from strong external demand for semiconductors. Korea's growth is expected to accelerate to 3.3 percent in 2026, from 1.1 percent in 2025. Similarly, growth of most ASEAN economies is revised up slightly, reflecting robust technology-related exports and investments. In economies relatively less exposed to the uplift from technology, expected growth depends on the size of buffers deployed against energy shocks. Growth in Japan is projected at 0.7 percent in 2026, with fiscal support partly cushioning the energy shock. India remains among the fastest-growing major economies, with growth projected at 7.0 percent, supported by broad-based strength in private consumption and services activity.

Growth in China is projected to slow, which has possible spillovers to regional economies. China's 2026 growth is projected to slow to 4.5 percent, as higher global oil prices, together with protracted uncertainty and structural headwinds, are expected to weigh on domestic demand, despite fiscal support. Net exports remain the key driver of growth, reflecting weakness in domestic demand owing to subdued consumer confidence, prolonged property market adjustments, and structural factors (see Chapter 3). The strength of net exports has been associated with falling export prices relative to the rest of the world (Figure 1.8). This has had mixed spillovers to other Asian economies: for those firms competing with Chinese final goods imports, the effect has been to depress profitability and output, whereas other firms have benefited from cheaper Chinese intermediate inputs. So far, the evidence indicates that, on balance, the net effect is broadly neutral in most sectors in most countries (Box 1.3).

Figure 1.8. Export Prices
(Index, 2019 = 100)



Sources: Haver Analytics; and IMF staff calculations.
Note: 2026 data are based on the first seven months of the year.

Inflation is expected to rise in the near term on account of delayed pass-through of energy price shocks. The path will differ across economies, with the largest pressures likely in countries where imported energy and food account for a larger share of consumption baskets and where policy buffers are weaker. Therefore, cost-of-living pressures are likely to remain a central concern, particularly for low-income households and vulnerable economies.

Downside Risks Dominate

Risks to the outlook remain tilted to the downside. A prolonged stalemate in the conflict in the Middle East could keep commodity prices elevated and volatile for longer, weighing on growth while fueling inflation and cost-of-living pressures. Further drawdowns in oil reserves could push global inventories to stress levels, triggering nonlinear price increases (see the Commodity Special Feature of the October 2026 *World Economic Outlook*). Higher energy prices might lead to worsening fiscal balances. Oil inventory rebuilding and market expectations of a more persistent shock could further raise energy prices.

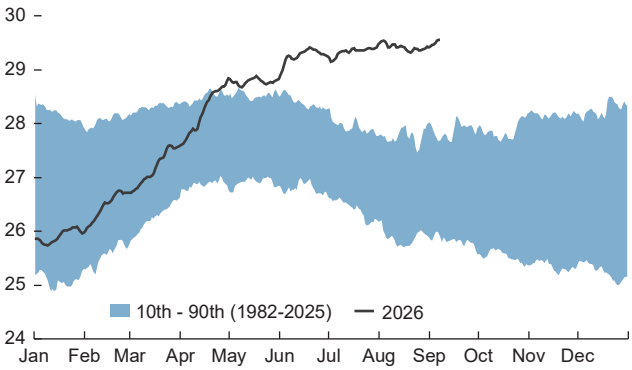
Another major risk stems from the technology sector, which could surprise on either the upside or downside. With the extent of long-term productivity gains uncertain, a reassessment of profitability of AI-related firms could trigger a sharp correction in investment and financial markets. Such a correction could weigh on global growth through weaker business investment and private consumption, with effects likely to be particularly pronounced

in Asia given the region's extensive exposure to the AI production chain (October 2026 *Global Financial Stability Report*). Further expansion of AI-related infrastructure raises questions about physical resources, including water, electricity, and grid capacity. On the upside, growth could be stronger if the technology cycle keeps strong momentum with continued AI-related investment and supports private consumption, or if faster diffusion of AI technologies generates stronger productivity gains.

With global yields rising, episodes of market stress in major sovereign issuers (the United States, the United Kingdom, euro area, and Japan) could spill over to Asian sovereign bond markets, pushing up yields and exacerbating already-elevated fiscal vulnerabilities[3]. With public debt and borrowing needs remaining high across much of the region, an abrupt tightening of financial conditions could further strain public finances by raising debt-servicing costs. Such a shock could stem from a repricing of risk in major advanced economies and transmit to emerging market and developing economies, as the recent rise in term premia has illustrated.

The region continues to be vulnerable to natural disasters, as seen most recently in the tragic events in Nepal. Going forward, the prospect of an El Niño "super cycle" heightens risks. Although its full effects are likely to be seen only later in the year, a key indicator– sea surface temperatures in the central-eastern equatorial Pacific– has surged to record highs, on track for the strongest ever El Niño, heightening the risk of economic damages from extreme weather events (Figure 1.9). Volatile rainfall could affect planting seasons and undermine agricultural yields. The higher ocean temperatures could affect fishing—a key source of income—in some Pacific island countries. In addition, lower rainfall could reduce hydroelectricity output across numerous economies in the region. Such shocks could create further inflationary pressures through higher food and energy prices and exacerbate fiscal vulnerabilities in economies with limited policy buffers.

Figure 1.9. Sea Surface Temperature in the Pacific Ocean
(Celsius)



Sources: Climate Reanalyzer, National Oceanic and Atmospheric Administration, and IMF staff calculations.
Notes: Average estimated temperatures for the Niño 3.4 area in the central-eastern equatorial Pacific.

Renewed trade tensions could amplify shocks. Protectionist measures to safeguard strategic goods or to respond to shifting trade patterns could dampen growth (see Chapter 3 of the October 2025 *World Economic Outlook*). At the same time, the increasing number of deep trade agreements involving Asia-Pacific economies could help lower trade costs, support supply chain resilience, and improve policy predictability (see Chapter 2 of the October 2025 *Regional Economic Outlook: Asia and Pacific*).

Policies: Preserving Economic Stability and Fostering New Growth Models

Macroeconomic Policies: Balancing Near-Term Stabilization with the Need to Rebuild Buffers

The region's resilience over the past year has resulted, in part, from significant fiscal policy support by governments. This has helped to cushion the effects of the energy shock and sustain growth, despite heightened external uncertainty. However, the policy environment is becoming more challenging. Inflation pressures are persistent in several economies, with signs of second-round effects emerging. Fiscal positions have weakened,

[3] The literature has documented extensive evidence of cross-border spillovers from US and euro area interest rates (for a recent example, see Arbatli-Saxegaard and others 2024), and recent IMF work has documented evidence of global spillovers emanating from shocks to Japanese government bond yields (Carrière-Swallow, Kindberg-Hanlon, and Smirnov 2025).

and large fluctuations in financial prices could lead to costly materialization of risk events. Therefore, the policy challenge is to shift from mitigating external shocks toward rebuilding resilience, while laying the foundations for sustainable and inclusive growth.

- *Monetary policy* should continue to focus on preserving price stability. A key question for policymakers is whether they can afford to look through the inflationary effects of adverse oil shocks (Bodenstein, Erceg, and Guerrieri 2008). Near-term inflation expectations have risen, but have fallen since peaks in March and April, while 2-year expectations have mostly remained anchored (Figure 1.10.1). However, there are signs of additional inflationary pressures, including more pass-through of oil supply shocks (Figure 1.10.2).[4] Hence, policymakers should be ready to tighten monetary conditions, especially where pass-through of oil prices to consumer prices is strong, the demand uplift from the tech boom is significant, inflation expectations are less anchored, monetary frameworks are less credible, and inflation is more persistent. The case is stronger in emerging market economies, where inflation formation appears more backward-looking and hence more persistent (Figure 1.10.3). To keep expectations well anchored in an uncertain global environment, central banks should clearly communicate their policy intentions and the balance of risks, and should be granted strong independence to pursue their mandates.
- *Fiscal policy* should balance the need to preserve fiscal sustainability while protecting the vulnerable. Public debt remains elevated across much of the region following the pandemic and is projected to rise further in advanced Asia (excluding Japan) (Figure 1.10.4), reflecting delays in fiscal consolidation amid mounting structural spending pressures from population aging, higher defense outlays, and rising borrowing costs (Figure 1.10.5). Even where public debt does not appear particularly high–such as in Pacific Island countries–public finances are under stress. Rebuilding fiscal space is becoming more urgent amid elevated debt, rising sovereign yields, and growing spending pressures. Therefore, medium-term fiscal consolidation remains a priority. Where support is warranted to mitigate the impact of higher energy prices, targeted and time-bound fiscal measures are preferable to broad-based fuel subsidies or price controls, which can be more costly and weaken price signals and incentives to reduce demand. Currently, very few measures are time-bound or clearly targeted to low-income households and most vulnerable firms (Box 1.1). Investing in administrative systems—including social registries, beneficiary identification, and delivery mechanisms—would facilitate better targeted support during future shocks.
- *Financial policies* should guard against volatile market conditions. Bank credit to nonfinancial corporations is growing alongside strong investment, especially in advanced economies. Although credit growth remains broadly in line with GDP growth, signs of weakening loan quality are emerging in some countries (Figure 1.10.6). Risks are more pronounced where exposures are concentrated in the tech sector, which relies on elevated equity valuations and leveraged investors (October 2026 *Global Financial Stability Report*). Supervisors should remain vigilant to credit and liquidity risks, including through stress testing of tighter funding, sharp exchange rate movements, and asset price corrections. Macroprudential frameworks should remain attentive to risks in household and corporate balance sheets, including those linked to technology sector exuberance and possible renewed housing pressures. Cyber fraud has rapidly emerged as a significant issue for the region, one that has the potential to reduce trust in financial systems and to set back development in emerging and low-income countries. To that end, the agenda laid out in the "Bangkok Blueprint", a joint IMF-World Bank-Bank of Thailand high-level framework for tackling cyber-enabled fraud in digital financial services, should be pursued.

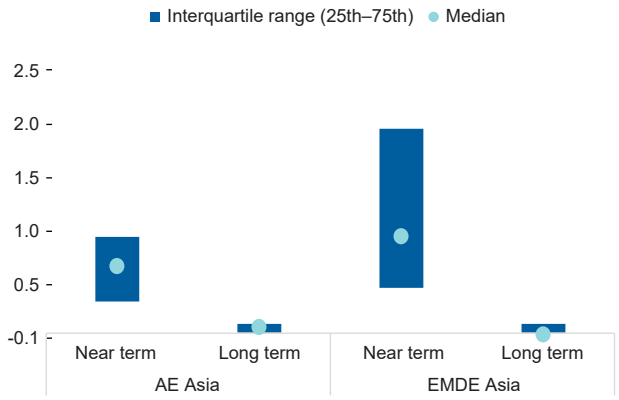
Asia-Pacific's Long-Term Challenges: Toward a More Resilient and Inclusive Growth Model

Asia has been the world's fastest-growing region in recent years and has accounted for more than half of global growth. Sustaining this performance will require adapting to deep structural shifts. Labor market challenges are increasingly central. Aging economies face shrinking workforces, whereas others continue to grapple

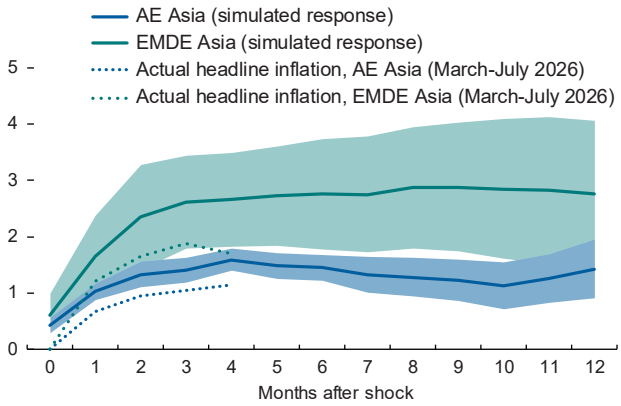
[4] Anecdotal evidence suggests that manufacturers may be close to exhausting older and cheaper inventories, while the El Niño cycle presents significant risks of food and producer price pressures.

Figure 1.10. Monetary, Fiscal, and Financial Policies

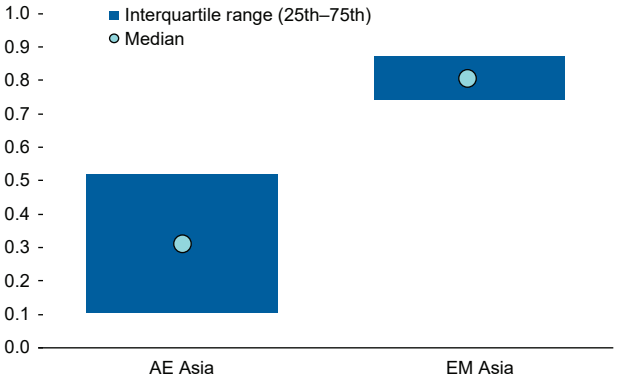
1. Change in Inflation Expectations
(Percentage points)



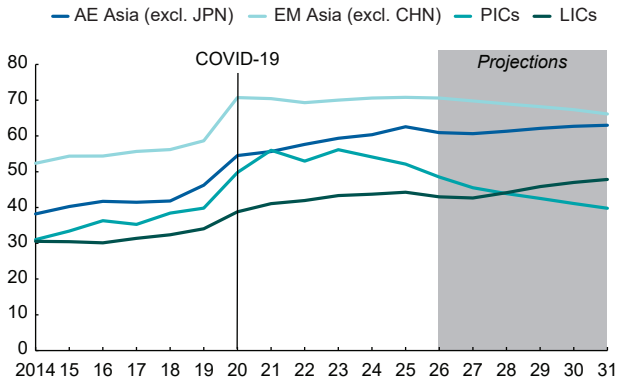
2. Pass-Through of Energy Supply Shocks
(Cumulative percentage points change in price level in response to oil supply shock)



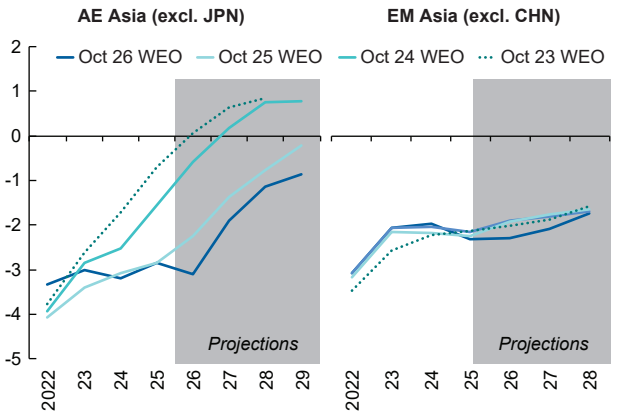
3. Backward-Lookingness of Core Inflation
(Estimated Phillips Curve coefficients)



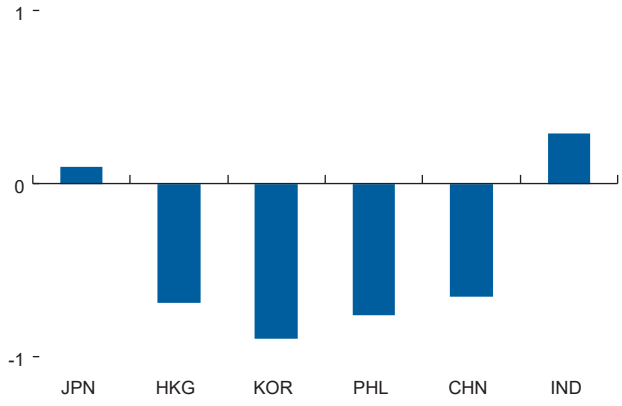
4. Government Debt
(Percent of GDP, weighted average)



5. Cyclically Adjusted Primary Balance
(Percent of GDP)



6. Lending Standard from Loan Officer Survey
(Index, Change from 2025:Q2 to 2026:Q2)



Sources: Consensus Forecast; Haver Analytics; IMF Fiscal Monitor; IMF Global Policy Tracker; IMF, World Economic Outlook; and IMF staff estimates and calculations.
Note: For panel 1, near term refers to current year inflation expectations for 2026, and long term is 2-year inflation expectations. For both series, the change is calculated as the difference between January 2026 and July 2026. EMDE Asia are EM Asia and BGD, LKA, and MMR. Median value was used for regional aggregates. Panel 2 shows cumulative impulse response of headline CPI to a 75 percent increase in the real Brent oil price (corresponding to the increase after the Middle East war between January and April) instrumented with the Känzig (2021) oil supply news shock. The sample covers 2000:M1–2026:M3. Shaded areas denote 90 percent confidence intervals. Panel 3 reports distribution of the coefficient on lagged inflation from country-by-country Phillips curve regression for REO-14. Methodology is as in Baba and others (2025). Panel 4: AE and EM Asia are REO-14 economies. Panel 5: Sample countries are REO-14 excluding SGP, TWN, and VNM. Panel 6 uses the change from 2025:Q2 to 2025:Q4 for CHN. Data labels in the figure use International Organization for Standardization (ISO) country codes. AE = advanced economy; CPI = consumer price index; EM = emerging market; EMDE = emerging market and developing economy; PICs = Pacific island countries; LICs = low-income countries; WEO = *World Economic Outlook*.

with underemployment and skill mismatches, which could be amplified by AI. These labor market challenges, together with weak social safety nets and income uncertainty, could weigh on consumption and growth. As services become a more important driver of growth, reducing barriers to services trade could raise growth, diversify exports, and enhance resilience to goods-trade disruptions. The current challenging environment offers an opportunity to accelerate reforms to support the region's transformation over the medium term to a more balanced and resilient growth model and support social cohesion as the region navigates aging, informality, and technological change.

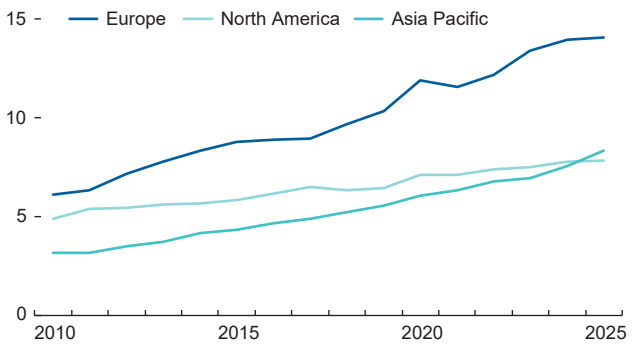
Labor market reforms are essential to mitigate the adverse growth effects of demographic changes and adapting to evolving labor demand in the AI era. In aging economies, efforts to increase labor supply by encouraging more participation, training, and better integration of foreign workers should continue. In emerging market economies with young populations, policies should focus on creating productive employment opportunities for large cohorts of young people to harness demographic dividends. Migration policies that effectively balance near-term labor supply losses and medium-term skill gains can complement labor market reforms. A key challenge is that AI is reshaping occupations and the demand for skills for those roles (Chapter 2). Policymakers will need to think how best to foster the creation of high-quality jobs, support workers in acquiring relevant skills, and facilitate labor mobility across sectors and occupations.

Adequate social assistance can help mitigate income inequality, income uncertainty, and informality, thereby supporting both growth resilience and social cohesion. Chapter 3 finds strong reasons for households to save for retirement and against adverse shocks in emerging Asia—such as inadequate pension systems, high income uncertainty, and widespread informality—weighing on private consumption. Therefore, strengthening social safety nets would support consumption and living standards, especially for vulnerable households. Priorities should be given to pension reforms in aging economies and to income-support programs in younger and more informal economies. These reforms can also gradually encourage workers to emerge from informality to benefit from the coverage of social safety nets, especially if combined with labor market reforms to equip workers with relevant skills, as well as regulatory reforms to reduce barriers for small businesses to formalize. The challenge is to do so while maintaining fiscal sustainability including by undertaking fiscal consolidation where needed, including through revenue mobilization. The analysis in Chapter 3 indicates that well-designed reforms embedded in medium-term fiscal frameworks can achieve these objectives at a manageable fiscal cost.

Deeper services trade integration led by domestic regulatory reforms is key to unlocking the potential of services trade. Chapter 4 finds that services trade integration in Asia-Pacific is lower than that in other regions, reflecting domestic policy barriers. Reducing restrictions on foreign entry, strengthening competition, and improving regulatory transparency could reduce the cost of trading services and generate meaningful welfare gains. As digitalization and AI expand the role of services, complementary policies, including investments in digital infrastructure, regulatory frameworks, and workforce reskilling, will be critical.

Finally, policies to improve energy security should continue over the medium term. The recent energy shock underscores the importance of strengthening energy supply resilience. Key priorities include maintaining adequate inventories to cushion future disruptions, and diversifying both energy sources and import suppliers. Many Asia-Pacific economies have scope to increase the availability of renewable energy (Figure 1.11), which would help reduce reliance on imported fuels while supporting climate objectives.

Figure 1.11. Share of Renewables in Energy Consumption
(Percent of total energy consumption)



Sources: Energy Institute, Statistical Review of World Energy 2026; and IMF staff calculations.

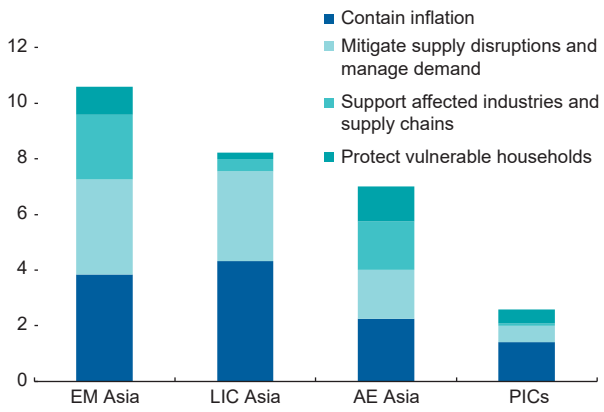
Box 1.1. Policy Responses to the Energy Shock: Objectives and Instruments[1]

Asia-Pacific economies responded swiftly with a broad set of policies to cushion the economic and social impacts of the energy shock. Based on the IMF Global Policy Tracker, over 90 percent of economies adopted policy measures, with several—including India, Korea, Lao P.D.R., Sri Lanka, Thailand, and Vietnam—implementing broader packages spanning multiple objectives.

Containing inflation pass-through has been the main policy objective. More than 80 percent of economies adopted measures to dampen the pass-through of higher global energy prices to domestic prices, using two to four instruments on average. These included fuel tax and duty reductions in Cambodia and Lao P.D.R.; subsidy-backed fuel price caps in Japan and Thailand; and fuel or utility price freezes or subsidies in Bangladesh and Malaysia.

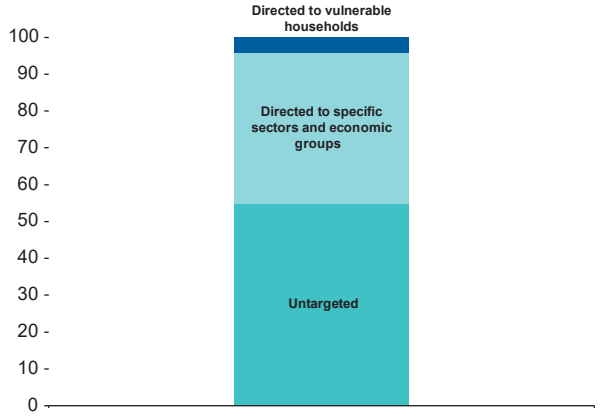
Supply- and demand-management measures have been adopted by about 80 percent of economies to address risks of energy shortages and import disruptions. Measures range from petroleum reserve releases and procurement diversification in Japan, Timor-Leste, Thailand, and Vietnam to export restrictions in Thailand. Several economies, including Brunei, Maldives, Myanmar and Sri Lanka, have introduced rationing, quotas, or anti-leakage controls. Demand-side measures—such as work-from-home arrangements, shorter public sector hours, and travel restrictions—have also been deployed in Bangladesh, Bhutan, Fiji, Malaysia, Myanmar, Nepal, the Philippines, and Thailand.

Figure 1.1.1. Policy Measures by Objective
(Average number of measures per country)



Source: IMF Global Policy Tracker; and IMF staff calculations.
Note: The tracker is a high-frequency, cross-country database of economic policy measures announced in response to the war in the Middle East since February 2026. The data is compiled using AI-enabled web scanning and IMF country teams inputs.

Figure 1.1.2. Measures based on Target
(Percent of total measures)



Source: IMF Global Policy Tracker; and IMF staff calculations.
Note: Sector classifications reflect the primary beneficiaries of targeted measures.

Targeted support has complemented broad-based measures by channeling relief to exposed sectors and households. Production measures have included freight subsidies in Korea, trade-finance support in the Philippines, toll relief in Hong Kong SAR, fertilizer support in Australia and Sri Lanka, and credit guarantees or liquidity facilities in India, Malaysia, and Singapore. Household relief included cash transfers and cost-of-living top-ups in Cambodia, Fiji, Korea, New Zealand, Sri Lanka, Thailand, and Tonga; utility vouchers and food cards in the Philippines and Singapore; and public transport subsidies or fare reductions in Australia, Fiji, and Lao P.D.R. Demand measures to curb energy use, such as shorter working hours, have mostly been targeted to the public sector.

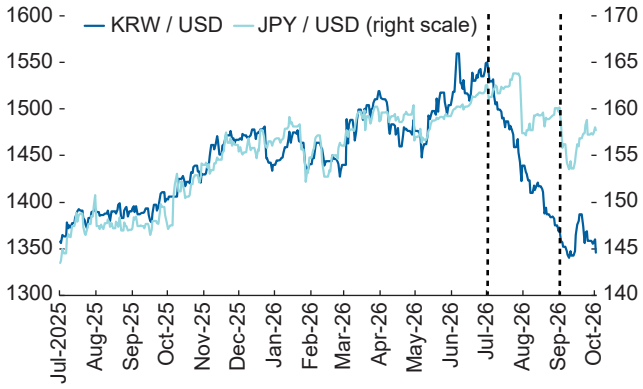
Most fiscal measures are reported to be temporary, yet exit strategies remain unclear in some emerging and developing economies. Most advanced economies have set clear timelines for their interventions, but those for about a third of emerging-market, low-income, and Pacific-Island countries remain open-ended, primarily on price control measures.

[1]/ This box was prepared by Sun Young Park, Vyshnavi Thumbala Saikrishnan, and Yuanyan Sophia Zhang.

Box 1.2. A Tale of Two Currencies: What Is Driving the Yen–Won Divergence?[1]

The Korean won and Japanese yen have been among the most highly correlated currencies in global foreign exchange (FX) markets for the past decade. This reflects their shared exposure to global manufacturing and energy cycles, global financial factors, and regional risk sentiment. This pattern continued through the end of June, with the won and yen weakening in tandem against the US dollar (Figure 1.2.1). Yen depreciation has generally moved in line with US–Japan yield differentials, although this relationship has weakened since mid-2025. The won also faced pressures from large capital outflows in 2026H1 (Figure 1.2.2), including from equity portfolio rebalancing by foreign investors amid the rapid rise in equity valuations, despite the current account surplus rising strongly since late 2025 as tech-related exports boomed.

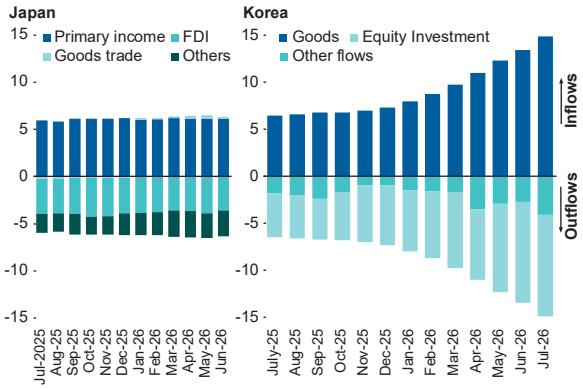
Figure 1.2.1. Exchange Rate: Japanese Yen and Korean Won per US$



Source: Bloomberg Finance L.P.; and IMF staff calculations

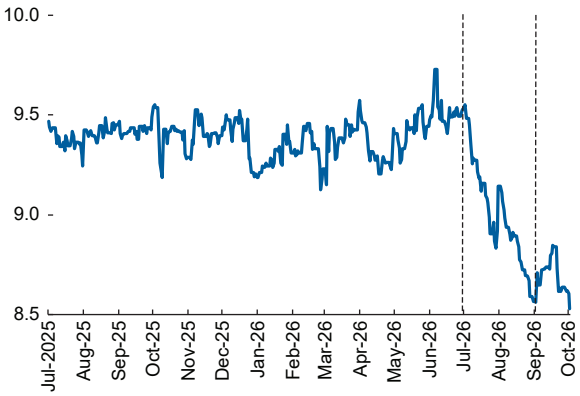
From July 1 to September 3, 2026, the currencies diverged significantly, with the won gaining 11 percent against the yen (Figure 1.2.3). The magnitude of the two-month change was the largest since January 2013 and was in the 99th percentile since 2010. Examining factors behind the divergence may shed light on different roles that country-specific trade and financial flows have played in recent currency movements.

Figure 1.2.2. Japan and Korea: Balance of Payments Flows
(Percent of GDP, rolling 12-month)



Source: Haver Analytics; and IMF staff calculations.
Note: For Japan, other flows are the sum of the capital account balance, the financial account balance excluding FDI, services, secondary income, and errors and omissions. For Korea, other flows are the sum of the capital account balance, services, incomes, direct investment, reserves, debt flows, net other investment flows and errors and omissions.

Figure 1.2.3. Exchange Rate: Korean Won per Japanese Yen



Source: Bloomberg Finance L.P.; and IMF staff calculations.

[1]/ This box was prepared by Yan Carrière-Swallow, Fabien Gonguet, and Ken Teoh.

Box 1.2. *(continued)*

An important fundamental factor that typically drives currency markets is the interest rate differential between sovereign bonds. Both Japanese and Korean yields have risen in recent months, such that the Japan-Korea yield differentials have not widened significantly. Markets have priced in somewhat higher policy rates in both countries, with 1-year government yields and OIS-implied policy expectations increasing by similar amounts since July 1. Estimated term premia have also increased largely in line with advanced economies elsewhere. As a result, changes in the 10-year differentials between Japanese and Korean government bonds have remained relatively modest. Overall, interest rate developments since July 1 do not appear sufficient, on their own, to explain the magnitude of the exchange rate movement. On the Japan side, IMF staff analysis suggests that a large portion of yen movements since mid-2025 cannot be accounted for by yield differentials or other fundamentals such as global risk aversion or the oil price, while the unexplained component has co-moved with observed positions in the yen futures market (IMF 2026). FX intervention activity reported in recent months is also unlikely to have had a significant incidence on the divergence.

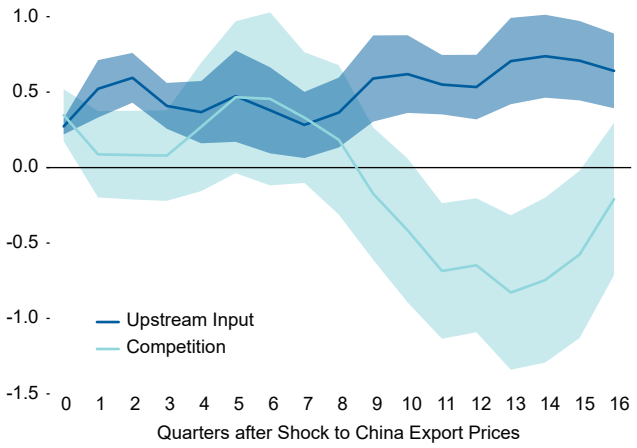
The relative impact of the AI boom on current and capital accounts offers a more likely explanation for the divergence, especially through shorter-term financial and corporate FX flows in Korea. Although Japan and Korea are both benefiting from the AI boom, the latter has seen a much larger boost to its export receipts, as it plays a dominant role in global memory chip production. Higher global demand for semiconductors has caused a steep increase in prices (+173 percent year-over-year as of July 2026), contributing to a record-high current account surplus (19 percent of GDP forecast for 2026). By contrast, Japan's current account surplus has been smaller (~4 percent of GDP) and more stable, and primarily reflects strong income flows from overseas investments, which are generally reinvested abroad instead of repatriated, rather than tech-related exports. Recent developments among major Korean tech firms, including onshore conversion of rapidly growing export earnings and SK Hynix's repatriation of proceeds from the early July issuance of an American Depository Receipt in the United States have contributed to an appreciation of the won. Appreciation pressures may also have been reinforced by the easing of equity portfolio rebalancing outflows after the July stock market correction and moderation in hedging-related FX flows.

Box 1.3. Spillovers from Chinese Exports to the Rest of Asia[1]

The first step in understanding the spillovers from the strength in Chinese exports is to understand what China exports to which sector in which country. Chinese imports are particularly high in electrical equipment and electronics, textiles, and machinery. They are generally higher in lower-income economies. Imports can be of *final* and *intermediate* goods—shares of the latter are overall much higher (not shown), particularly in metals and minerals, wood, rubber, and plastics, and chemicals.

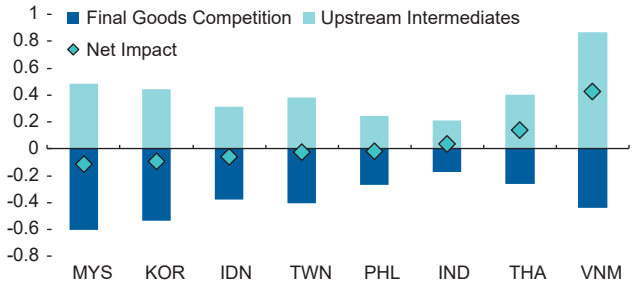
The second step is to identify what is exogenous about Chinese export growth, which is affected by both industry-specific and global demand shifts unrelated to domestic developments in China. The analysis used for this box separates aggregate from idiosyncratic shocks to Chinese exports, using the latter to estimate spillovers.[3] The estimates indicate that, on average, a rise in exports to Asia comparable to that which took place after the COVID-19 pandemic has reduced industrial production in trading partners by around 0.8 percent after 3 years. This reflects losses in market share in domestic final goods markets, whereas the benefits from increased availability of intermediate inputs have raised industrial production by around 0.8 percent after 4 years (Figure 1.3.1).

Figure 1.3.1. Response of Industrial Production to a China Export Shock
(Percent)



Sources: UN Comtrade; Haver Analytics; Asian Development Bank Multi-Regional Input-Output tables; and IMF staff calculations.
Note: Impulse responses from panel instrumental-variable local projection estimates with economy and quarter and industry fixed effects. Standard errors are clustered by industry

Figure 1.3.2. Contribution to Production by Country
(Percentage points of total industrial production)



Sources: United Nations Comtrade; Haver Analytics; Asian Development Bank Multi-Regional Input-Output tables; and IMF staff calculations.
Note: Response to one standard deviation shock in Chinese exports. Data labels in the figure use International Organization for Standardization (ISO) country codes.

The strength of these two channels varies across economies according to their position in regional value chains (Figure 1.3.2). The estimates indicate that the net effects for economies as a whole are typically small, as Asian economies tend to have large exposure to China along both dimensions. Beltran, Franz, and Presbitero (forthcoming), who identify idiosyncratic shocks from Chinese exports using firm-level data, find a very similar size impact for these channels, but with some differences in the timing of the peak effect. Vietnam is the only economy where the net output effect is statistically significant: There, gains from Chinese intermediate inputs outweigh stronger final-goods competition, which is consistent with Vietnam's specialization in downstream assembly and its deep integration into electronics supply chains.

[1]/ This box was prepared by Chikako Baba, Chris Redl, and Xiaoxiao Zhang.

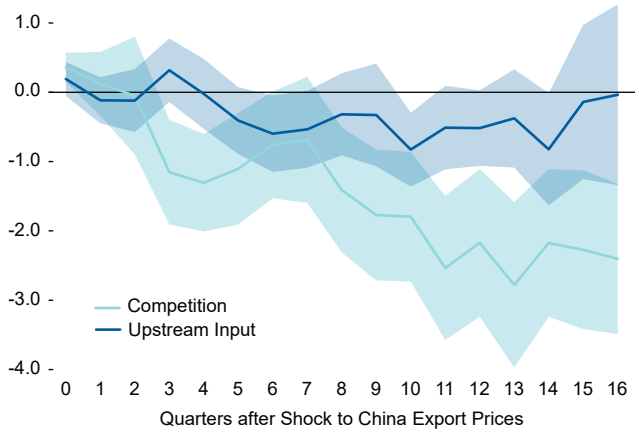
Box 1.3. *(continued)*

At the sectoral level across countries, the net effect is also typically small, but conceals large offsetting adjustments. For example, computers and electronics show the largest gross responses on both channels. China exports necessary components to regional producers for assembly and competes with the final goods they sell. Thus, the input gain and the competition drag land in the same industry and largely cancel. However, these two do not arrive together– the input gain is immediate and persistent, whereas the competition drag builds over 2–3 years – and so, the netting out is a feature of the horizon, not of any single quarter. Machinery and basic metals display the same configuration on a smaller scale.

Looking at the effects on exporters, the analysis finds that the same shocks lower imports from non-China sources in Asian destinations, especially in final goods markets (Figure 1.3.3). Although evidence of trade displacement is limited for shocks to intermediate goods, export shocks affecting final goods lead to sizable and persistent losses in market share for other suppliers, with imports from non-China sources falling by about 3 percent after four years. These results underscore the importance of distinguishing between final and intermediate goods. The consequences of China's export growth depend not only on the scale of exposure, but also on whether imports displace domestic final production or lower input costs and support downstream activity.

Figure 1.3.3. Response of Non-China Imports to a China Export Shock

(Percent)



Sources: UN Comtrade; Haver Analytics; Asian Development Bank Multi-Regional Input-Output tables; and IMF staff calculations.
Note: Impulse responses from panel instrumental-variable local projections with economy × quarter and industry fixed effects; standard errors clustered by industry. This chart re-estimates the system with the log of imports from non-China sources as the outcome

Nevertheless, net sectoral effects may conceal important distributional consequences. Competing and input-using firms can experience different outcomes within the same sector. Moreover, output losses may have larger employment implications in labor-intensive industries such as textiles and apparel, even when their contribution to aggregate output is limited.

[2]/ Shares are here defined as overall Chinese value added absorbed domestically out of total domestic absorption.

[3]/ Using the granular instrumental variable approach of Gabaix and Koijen (2024).

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Annex Table 1.1. Asia: Real GDP

(Percent; year-over-year change)

	Actuals and Latest Projections			Difference from April 2026 WEO	
	2025	2026	2027	2026	2027
Asia	**5.0**	**4.8**	**4.4**	**0.4**	**0.1**
Advanced Economies (AEs)	**2.5**	**3.2**	**2.0**	**1.2**	**0.4**
Australia	2.0	1.9	1.6	−0.1	−0.1
Hong Kong SAR	3.6	3.8	2.8	1.4	0.5
Japan	1.2	0.7	0.7	0.0	0.1
Korea	1.1	3.3	2.8	1.4	0.7
Macao SAR	4.7	3.3	3.1	0.3	0.0
New Zealand	0.3	2.0	2.6	−0.1	0.2
Singapore	5.0	5.0	3.0	1.5	0.4
Taiwan Province of China[1]	8.8	10.7	4.3	5.5	1.3
Emerging Markets and Developing Economies (EMDEs)	**5.6**	**5.1**	**4.9**	**0.2**	**0.1**
Bangladesh	3.5	3.6	3.2	−1.1	−1.1
Brunei Darussalam	1.0	1.9	1.3	−0.7	−1.3
Cambodia	5.3	3.0	4.0	−1.0	−0.7
China	5.0	4.5	4.0	0.1	0.0
India[2]	7.8	7.0	7.0	0.5	0.5
Indonesia	5.1	5.1	5.1	0.2	0.0
Lao P.D.R.	4.8	4.5	4.5	0.5	0.6
Malaysia	5.2	5.2	4.6	0.5	0.3
Myanmar	−2.0	2.0	2.0	−0.9	−1.0
Mongolia	6.8	6.2	5.9	0.9	0.6
Nepal	4.4	3.6	3.7	0.6	−0.8
Philippines	4.4	3.4	5.1	−0.7	−0.7
Sri Lanka	–	–	–	–	–
Thailand	2.4	2.1	2.1	0.6	0.0
Vietnam	8.0	8.4	7.5	1.3	0.8
Pacific Island Countries[3]	**3.8**	**2.6**	**2.5**	**−0.2**	**0.0**
Fiji	2.5	1.9	2.3	−0.5	−0.5
Kiribati	4.3	3.0	2.5	−0.1	0.0
Marshall Islands	1.8	3.0	2.2	−0.7	0.2
Micronesia	2.1	1.4	1.7	0.7	0.6
Naoero	2.2	2.1	2.0	0.0	0.0
Palau	6.0	4.3	2.7	1.0	−0.1
Papua New Guinea	6.2	3.1	4.0	−0.7	0.2

	Actuals and Latest Projections			Difference from April 2026 WEO	
	2025	2026	2027	2026	2027
Samoa	4.2	0.4	1.7	−2.8	−1.2
Solomon Islands	3.6	2.7	2.8	0.0	0.0
Tonga[4]	4.4	1.8	1.9	−0.5	0.6
Tuvalu	5.2	3.4	2.8	0.9	0.4
Vanuatu	3.7	3.5	3.2	0.0	0.0
ASEAN[5]	**4.9**	**4.9**	**4.7**	**0.4**	**0.1**
ASEAN-5[6]	**4.5**	**4.4**	**4.3**	**0.3**	**0.0**
EMDEs excluding China and India	**4.7**	**4.7**	**4.6**	**0.1**	**−0.1**

Sources: IMF, World Economic Outlook database; and IMF staff estimates and projections.

Note: AE = advanced economy; ASEAN = Association of Southeast Asian Nations; EMDE = emerging market and developing economy.

[1]/ Taiwan Province of China forecast data source is Consensus Forecast.

[2]/ India's data are reported on a fiscal year basis. Its fiscal year starts from April 1 and ends on March 31.

[3]/ Pacific island countries aggregate is calculated using simple average; all other aggregates are calculated using weighted average.

[4]/ Tonga's data are reported on a fiscal year basis. Its fiscal year starts from July 1 and ends June 30.

[5]/ ASEAN comprises Brunei Darussalam, Cambodia, Indonesia, Lao P.D.R., Malaysia, Myanmar, the Philippines, Singapore, Thailand, Timor-Leste, and Vietnam.

[6]/ ASEAN-5 comprises Indonesia, Malaysia, the Philippines, Singapore, and Thailand.

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2. Labor Markets in Asia: Challenges and Opportunities in the AI Era[1]

For decades, Asia's export-led, manufacturing-based model has driven rapid development, kept unemployment low, and made the region an engine of global growth. This route to job creation is becoming harder to follow because manufacturing is becoming more capital intensive and trade is becoming more fragmented. Demographic fortunes are also diverging. Many emerging markets in Asia are already facing high youth unemployment and hence must create jobs for large cohorts of young workers, whereas advanced economies confront shrinking workforces amid rapid aging. Into this setting arrives artificial intelligence (AI), which has already begun to change labor markets. Drawing on 40 million online job postings across 19 Asian economies, this chapter offers some of the first evidence on the impact of AI on labor markets in the region. Employer demand has fallen by nearly 10 percent in occupations more exposed to AI relative to less-exposed occupations. However, this impact appears to have stabilized even as AI capabilities have improved rapidly, suggesting that AI is reshaping work more than eliminating it. Indeed, demand is rising for workers with AI skills. The implications diverge across Asia. AI could make it harder for economies to create the jobs they need to harness demographic dividends, whereas it could help economies with aging populations cope with labor shortages. This raises pressing questions for policymakers about where future jobs will come from, how workers will acquire the skills they need, and how labor markets will adapt to AI-driven change.

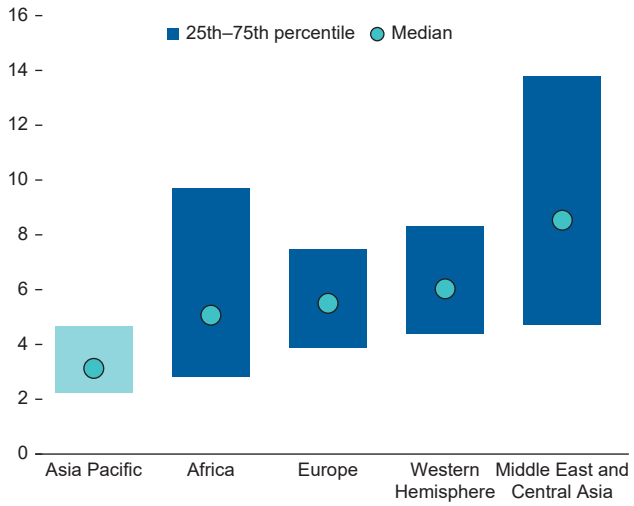
Context: Labor Markets and Demographic Trends in Asia

Asia's export-oriented development model has delivered rapid growth, but is increasingly strained, especially when it comes to creating jobs. Over several decades, industrialization has raised output; workers have moved from low-productivity occupations, such as in agriculture, to higher-productivity jobs in factories; and integration into global markets has supported production at scale (IMF 2026a), lifting hundreds of millions of people out of poverty. However, this model now faces two key challenges. First, manufacturing is becoming more capital- and technology-intensive, reducing the need for additional workers (IMF 2026a; Srinivasan 2026). Second, geoeconomic fragmentation is making access to external markets less predictable (IMF 2023).

Low Unemployment Masks Weaknesses

Low overall unemployment rates across much of Asia mask high youth unemployment and widespread underemployment. Unemployment rates in the region are lower than almost anywhere else in the world, suggesting that labor markets in Asia have delivered (Figure 2.1). Nevertheless, this measure conceals important weaknesses. It does not account for those who drop out of the labor market, especially

Figure 2.1. Unemployment Rate
(Percent, 2025)



Sources: International Labour Organization; and IMF staff calculations.

[1] This chapter was prepared by Sakai Ando and Divya Kirti (lead) with contributions from Willa Lin and research assistance from Assyifa Szami Ilman, under the guidance of Alasdair Scott.

Figure 2.2. Unemployment Rate by Age and Education
(Percent, latest year available)

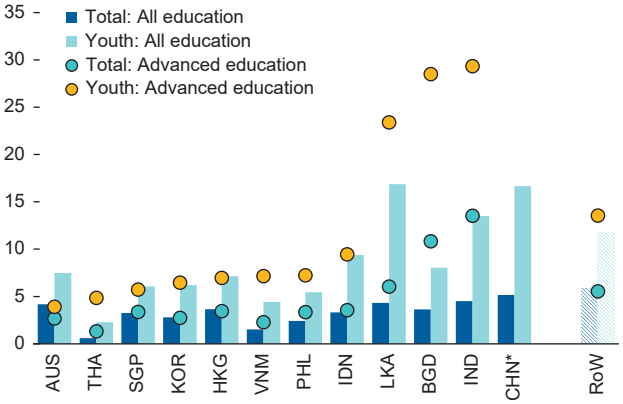
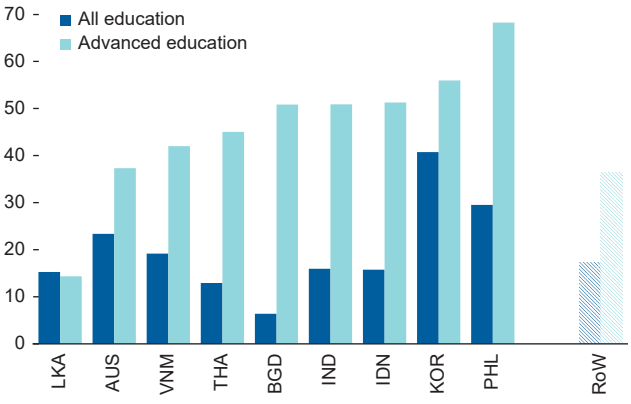


Figure 2.3. Fraction of Overeducated Workers by Education
(Percent, latest year available)



Sources: Haver Analytics; International Labour Organization; and IMF staff calculations.
Note: See Online Annex 2.1.4.

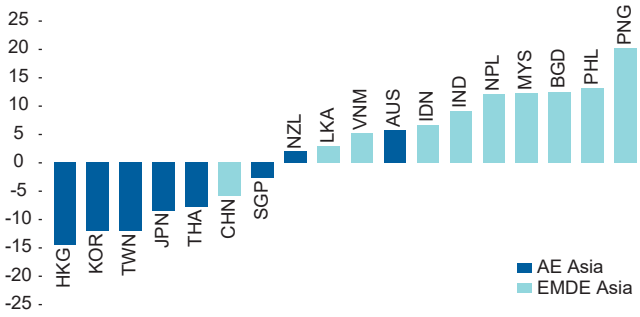
young women in South Asia (ILO 2024). Moreover, it does not consider the quality of jobs. A formal contract is the exception rather than the rule across much of the region, and informal jobs—often in agriculture—are pervasive, offering little security and limited prospects (Donovan, Lu, and Schoellman 2023; World Bank 2026a).

Part of the problem is that workers, particularly recent graduates, are not consistently equipped with the skills that employers want. The challenge is most visible at the moment young people try to enter the workforce. In several emerging market economies, youth unemployment runs far above the national average (Figure 2.2). This is particularly the case for highly educated youth: unemployment rates for young people with college degrees are close to 30 percent in some emerging market economies (Figure 2.2). Many college graduates have to wait for a long time to get a job that fits their qualifications (IMF 2026b). Across much of the region, many end up settling for jobs that do not require their level of education. For example, in the Philippines, nearly 70 percent of college graduates are in jobs that do not require their degrees (Figure 2.3).

A Demographic Divide

These strains are most concerning in emerging markets with young populations, where large cohorts of workers will need jobs in the years ahead. Demographic trends diverge sharply across the region (Figure 2.4, IMF 2017). At one end of the spectrum, the workforce is still growing across much of South and Southeast Asia. If handled well, this is an opportunity—a demographic dividend that could lift living standards, if young workers can be channeled into high-productivity jobs in manufacturing and services (IMF 2026a). If these economies do not create sufficient high-quality jobs and their education systems cannot equip graduates with the skills to find them, a whole generation may be disappointed and economies could stagnate. At the other end of the spectrum, aging economies in East Asia face shrinking populations and growing concerns about shortages of workers.

Figure 2.4. Growth of Working-Age Population
(Percent, projection over 2025–35)



Sources: United Nations World Population Prospects 2024; and IMF staff calculations.
Note: Working-age population is defined as individuals ages 15-64 years. Data labels in the figure use International Organization for Standardization (ISO) country codes.
AE= advanced economy; EMDE = emerging markets and developing economy.

This is the setting into which artificial intelligence (AI) arrives, adding to concerns about job creation, particularly in the economies with the greatest needs. For younger economies already struggling to generate enough job opportunities, AI threatens to move the goalposts, changing which sectors and skills are in demand even as more young workers need jobs. For aging economies, by contrast, if the disruption from AI can be managed, its impact could help make up for smaller workforces. Whether AI proves to be a headwind or tailwind depends on where economies stand in their demographic transitions and how prepared they are to adapt.

How Is AI Reshaping Labor Markets?

This chapter presents some of the first evidence on how AI is already reshaping labor markets in Asia. It draws on data on 40 million online job postings across the region covering 19 low-income, emerging, and advanced Asian economies.[2] The granular data set makes it possible to track the skills that employers demand by economy, industry, and occupation, offering a month-by-month window into shifts in labor demand through April 2026.[3]

Employer Demand Has Weakened in More-Exposed Occupations

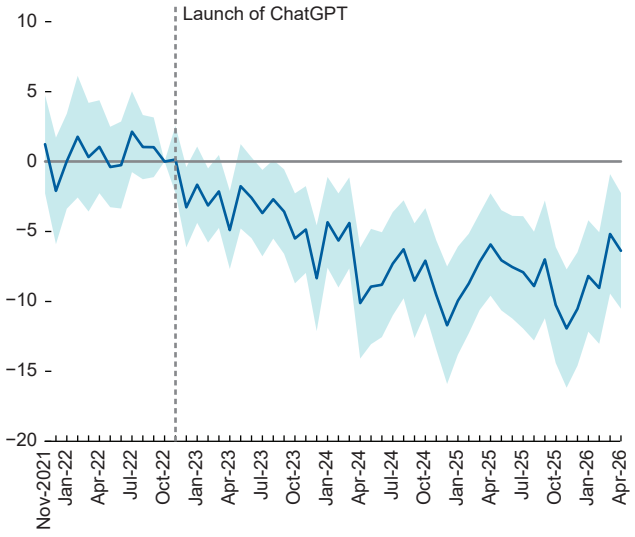
The chapter compares employer demand in occupations where AI is more useful with demand where it is less useful, before and after AI's arrival. Occupational exposure to AI is measured as in Pizzinelli and others (2023), who assess how closely AI can match the abilities workers need to succeed in each occupation. Two examples clarify the intuition: AI has become surprisingly good at writing code, a highly exposed occupation, but seems far less ready to take over relationships with suppliers, a less-exposed occupation. The analysis asks whether employer demand has weakened in more-exposed occupations (such as coding) relative to less-exposed occupations (such as managing relationships with suppliers) since the launch of ChatGPT in November 2022.

Making this comparison within the same economy and industry helps isolate the impact of AI from other forces affecting labor markets simultaneously. Vacancies may shift for many reasons, ranging from over-hiring in some sectors before the rise of AI to the growing importance of remote work in some occupations as economies reopened after the COVID-19 pandemic. To estimate the impact of AI, the analysis compares occupations within the same economy, industry, and month, and directly accounts for scope for remote work (Online Annex 2.1.3; Ando and others 2026).

AI has already had an impact in Asia: employer demand has fallen by nearly 10 percent in more-exposed occupations relative to less-exposed jobs (Figure 2.5). Prior to the launch of ChatGPT in 2022, hiring in the two groups of occupations moved in lockstep. Though little changed through mid-2023, employer demand did weaken measurably in more-exposed occupations,

Figure 2.5. Response of Labor Demand to the Launch of AI

(Percent change, high-exposure occupations versus low-exposure occupations)



Sources: Felten, Raj, and Seamans 2021; Lightcast; Pizzinelli and others 2023; and IMF staff calculations.
Note: The sample comprises 19 Asia-Pacific economies. Shaded bands show 95 percent confidence intervals. See Online Annex 2.1.3 for details.

[2] Previous work largely focuses on the United States and Europe. See, for example, Brynjolfsson, Chandar, and Chen (2026), Hampole and others (2026), and Jaumotte and others (2026). World Bank (2026b) is one exception offering more global analysis through mid-2025. See Ando and others (2026) for a fuller discussion of the literature. See Online Annex 2.1.1 for details on the economies included in the analysis and the approach used to select the sample.

[3] The data set on job postings offers a granular, high-frequency window into labor markets but does have limitations. Actual hiring may differ from jobs posted online, as firms may change internal hiring practices or rely on different channels to advertise openings. Additional analysis that draws on granular data on employment and considers wages and hours worked would be valuable.

such as coding, by 2024 and 2025. Postings measure only new hiring, so the full weight of this shift will be felt gradually, as the shortfall accumulates over time.

Decline Has Stabilized Even as AI Has Improved

AI has grown far more capable over time, feeding fears that each new leap will affect more jobs. Next, the chapter shows how AI's impact on employer demand has evolved as AI has improved. Using external benchmarks for the length of tasks AI can complete, the analysis lines up shifts in employer demand with changes in what AI can do, factoring in its growing capabilities (METR 2026; Online Annex 2.1.3).

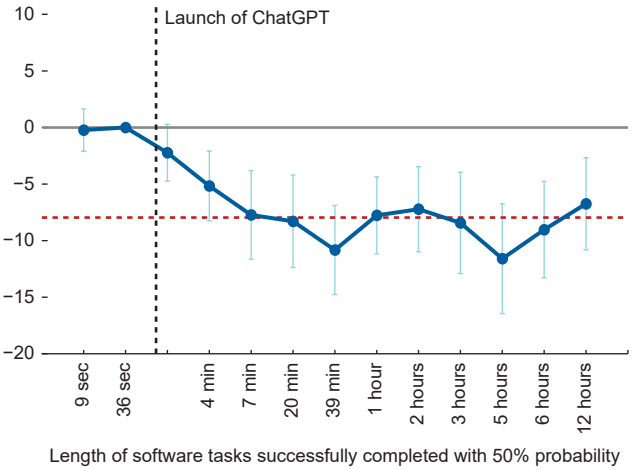
Surprisingly, the impact of AI on labor demand appears to have stabilized even as AI capabilities have advanced dramatically (Figure 2.6). When ChatGPT was launched, AI could do things such as answering simple arithmetic questions that would take a person a few seconds. There was little impact while AI capabilities remained at this basic level. However, by the time AI could handle tasks such as finding and fixing bugs in a small library of code—which would take a person an hour—employer demand in more-exposed occupations had fallen nearly 10 percent relative to less-exposed jobs. Now, AI can take on tasks that would take a person a whole day, such as training a machine learning model. But, surprisingly, the jobs picture has not worsened. Demand has declined, but the evidence to date suggests that employers do still see a need for workers, even in occupations where AI is more useful.

Offsetting Demand for Emerging AI Skills

To understand why the impact has stabilized, the chapter builds a new measure of employer demand for AI skills. The idea is to draw directly on what employers are looking for in job postings and focus on skills that did not exist before generative AI came along. The analysis identifies a set of emerging AI skills—such as prompt engineering, retrieval-augmented generation, and building AI agents—that meant little before 2023 and have since spread quickly (Ando and others 2026; Online Annex 2.1.2). Reassuringly, these emerging skills appear more often in occupations the analysis treats as more exposed (Figure 2.7), showing that comparing high- and low-exposure occupations does capture the impact of AI.

Figure 2.6. Impact on Labor Demand and Development of AI Capabilities

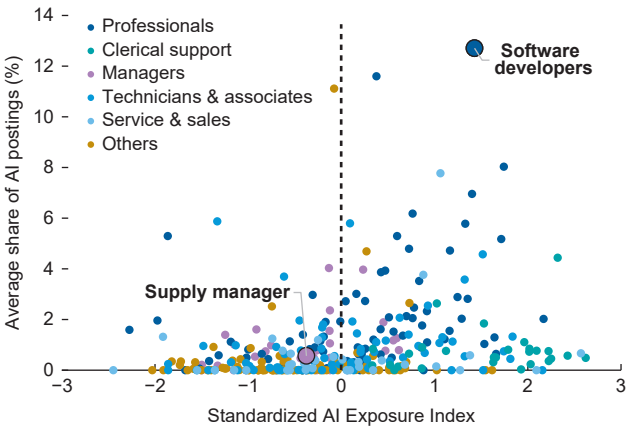
(Percent change, high-exposure occupations versus low-exposure occupations)



Sources: Felten, Raj, and Seamans 2021; Lightcast; Pizzinelli and others 2023; and IMF staff calculations.
Note: The sample comprises 19 Asia-Pacific economies.
The red dashed line indicates the impact on labor demand pooling observations after AI reached the 1-hour mark. Whiskers show 95 percent confidence intervals. See Online Annex 2.1.3 for details.

Figure 2.7. Demand for Emerging AI Skills across Occupations

(x-axis: standardized AI Exposure Index, standard deviations, y-axis: average share of AI postings November 2025–April 2026, percent)

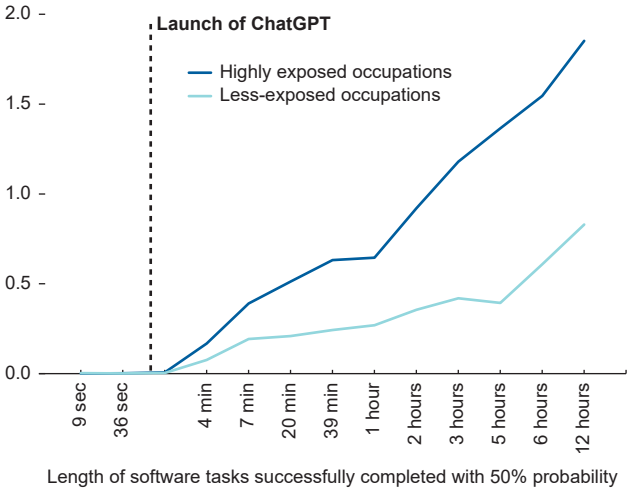


Sources: Atalay and others 2020; Felten, Raj, and Seamans 2021; Jaumotte and others 2026; Lightcast; Pizzinelli and others 2023; and IMF staff calculations.
Note: See Online Annex 2.1.4.

The explanation lies in growing employer demand for workers who can leverage AI to do more. Demand for these emerging skills is rising, particularly in occupations more exposed to AI (Figure 2.8). Employers increasingly want workers who can use AI effectively, build with AI, and connect AI to the knowledge and processes inside their firms. In other words, employers increasingly see that deploying AI well requires workers with these emerging skills.

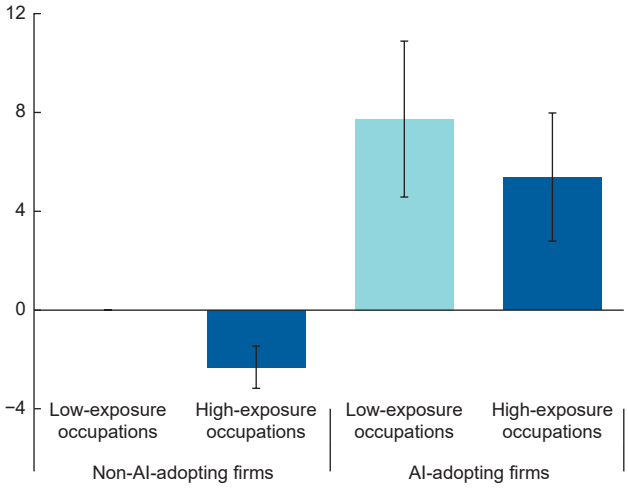
Firm-level analysis helps sharpen this picture: a dynamic group of AI-adopting firms drive this growing demand for emerging AI skills. About 6 percent of firms in Asia ask for AI skills in their job postings (Ando and others 2026).[4] Demand for workers is growing faster at AI-adopting firms than at firms that do not ask for AI skills, even in more-exposed occupations (Figure 2.9). This helps explain why the hit to demand has leveled off. The fact that most firms have not yet adopted AI also points to the importance of barriers to incorporating this new technology into existing workflows and processes.[5]

Figure 2.8. Share of AI Postings and Development of AI Capabilities
(Percentage, average share of AI postings)



Sources: Atalay and others 2020; Felten, Raj, and Seamans 2021; Jaumotte and others 2026; Lightcast; METR 2026; Pizzinelli and others 2023; and IMF staff calculations.
Notes: The sample comprises Asia and Pacific Department economies. The figure shows the share of postings that feature an emerging AI skill, averaged across economy–industry–occupation cells.

Figure 2.9. Demand Growth by Firm Type and Exposure
(Percent, change in log postings relative to low-exposure occupations in non-AI-adopting firms)



Sources: Atalay and others 2020; Felten, Raj, and Seamans 2021; Jaumotte and others 2026; Lightcast; Pizzinelli and others 2023; and IMF staff calculations.
Notes: The sample comprises Asia and Pacific Department economies. Whiskers show 95 percent confidence intervals.
AI = Artificial Intelligence.

Thus, AI's overall impact reflects two forces at once: less hiring in occupations where AI is more useful, and new opportunities for the workers who can put it to use. The evidence to date suggests that reduced hiring remains more important, explaining why demand has fallen in more-exposed occupations. However, offsetting opportunities have begun to emerge already for workers with the right skills. Furthermore, these opportunities appear to be growing over time. The strength of these forces can vary in individual economies—with little impact so far in lower-income economies (Ando and others 2026)—driving significant heterogeneity in the impact of AI across different parts of the world (Figure 2.10).

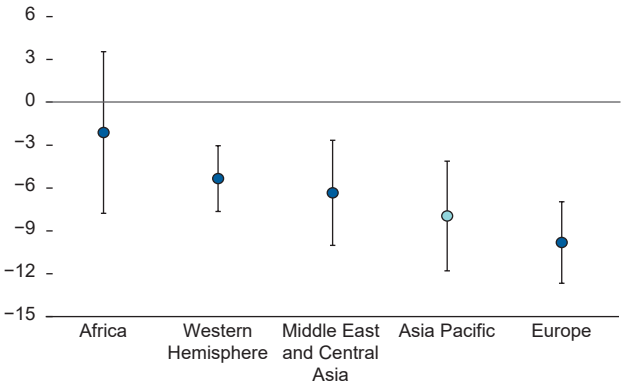
Diverging Implications for Countries

Taking this evidence to the economy level—accounting for differences in economic structure and demographics—reveals varied implications across Asia. To translate the estimates to the economy level, region-specific, occupation-level estimates are weighted by each economy's employment structure, as economies with many

[4] Note that this should be interpreted as a lower bound for the fraction of firms that adopt AI, as this captures firms that want new employees to have AI skills. Firms could also adopt AI in ways that simply reduces new hiring needs, for example, by training existing workers to leverage AI.

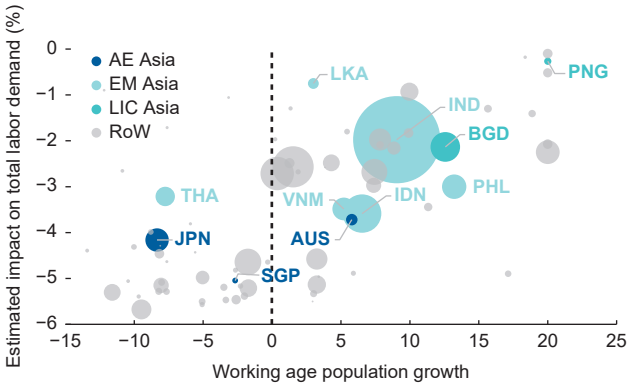
[5] For example, even if AI can perform tasks previously handled by individual workers, it may not be obvious how to use the technology to make decisions currently made by groups of people. Newer models may also be more expensive to use with larger energy footprints. Moreover, firms may be experimenting with AI before making decisions about hiring needs. Indeed, the full impact of the introduction of electric power took decades to emerge; many firms did not adopt the technology and continued to organize factory layouts around mechanical power generated by water or steam (David 1990).

Figure 2.10. Impact on Labor Demand by Region
(Percent change, high-exposure occupations versus low-exposure occupations)



Sources: Felten, Raj, and Seamans 2021; Lightcast; METR 2026; Pizzinelli and others 2023; and IMF staff calculations.
Note: Based on the results from a global sample of 110 economies (see Online Annex 2.1.1 for details), the figure shows region-specific estimates from a regression that pools observations after AI reached the 1-hour mark. Whiskers show 95 percent confidence intervals.

Figure 2.11. Aggregate Impact of AI on Economy-Specific Labor Market Demand
(Percent change)



Sources: April 2026 IMF *World Economic Outlook*; Felten, Raj, and Seamans 2021; Lightcast; METR 2026; Pizzinelli and others 2023; United Nations World Population Prospects 2024; and IMF staff calculations.
Note: See Online Annex 2.1.4.

workers in more-exposed occupations will be hit harder.[6] Plotting the resulting economy-level estimates against the projected growth in working-age populations in the coming decade illustrates the bottom line at the economy level (Figure 2.11).

The figure highlights the challenge for emerging market economies with younger populations and large job creation needs, such as India, Indonesia, and the Philippines. For now, they are partly shielded, because many workers are in sectors, such as agriculture, that are largely unaffected by AI. But this shield may also be a trap. To raise living standards, they must move workers into high-productivity manufacturing and services jobs: the very ladder that AI may now make harder to climb. The economies least exposed to AI today may still have the most at stake, because the jobs they need to create tomorrow are more exposed than the jobs they have now. AI preparedness may be critical. By contrast, AI could help economies with aging populations cope with shrinking workforces, if the near-term impact can be effectively managed.

Questions for Policymakers

AI is already reshaping labor demand. The evidence to date for Asia points to both reduced hiring in more-exposed occupations and new opportunities for workers with emerging AI skills. This raises pressing questions for policymakers about how to create jobs, how to educate young people, and how to help workers adapt.

Creating Jobs as AI Shifts Demand

How can economies keep creating good jobs as AI shifts which sectors, skills, and roles are in demand? This question is most urgent for emerging market economies with large job creation needs. These economies must find productive work for large cohorts of young people to harness their demographic dividends. They enter the

[6] This approach assumes no impact from AI on less-exposed occupations and projects ahead based on the impact that has already materialized. Given limited evidence to date that AI is generating large productivity gains at the aggregate level, this is a reasonable and conservative assumption. If growing adoption of AI does support large productivity gains in the coming years and stronger growth supports aggregate demand, this may also support hiring in occupations that are less exposed to AI.

AI era with weaknesses in labor markets already visible, particularly high youth unemployment and persistent skill mismatches. If AI narrows the path to good jobs, demographic assets can turn into liabilities. AI preparedness may therefore be particularly important in these economies. By contrast, economies with aging populations need to evaluate where labor shortages may persist despite AI adoption and how any remaining gaps can be filled.

Rethinking Education

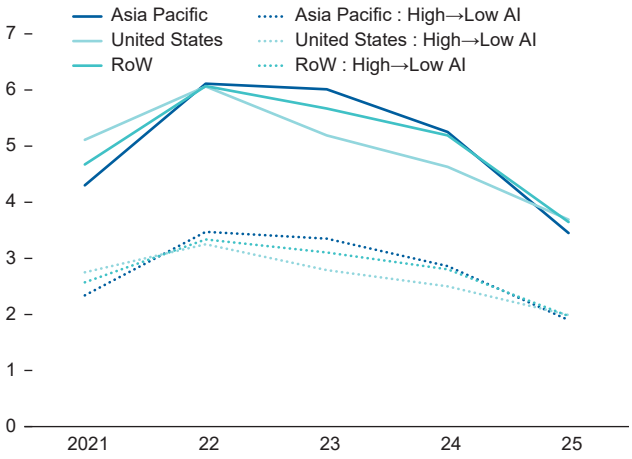
How should education systems adapt in this rapidly changing environment? This is an important, difficult, and open question. Policymakers should be mindful that many education systems, particularly in emerging market economies in Asia, already struggle to equip graduates with the skills they need to find good jobs. AI is now moving the goalposts further by changing which skills are in demand.

Helping Workers Adjust

Can workers realistically move across occupations as the map of labor demand is redrawn? New evidence from 65 million career histories in Asia highlights the challenge. Only about 5 percent of workers move across occupations in a year (Figure 2.12). Moreover, workers have not begun to move toward occupations that are less exposed to AI in recent years. Policymakers should evaluate whether enhanced active labor market policies are already needed to support upskilling and mobility and whether temporary income assistance programs are called for to protect workers while encouraging AI-driven innovation (see Chapter 3). In addition, they should ensure that policies do not lock workers into activities for which demand is persistently weakening.

Figure 2.12. Probability of Transitions across Occupations

(Median share of profiles with cross-occupation moves, percent)



Sources: Felten, Raj, and Seamans 2021; Lightcast; Pizzinelli and others 2023; and IMF staff calculations.
Note: See Online Annex 2.1.4.

Looking Further Ahead

Because the technology is still so new, the ultimate scale of AI's impact remains deeply uncertain, ranging from manageable to highly disruptive. In a slower scenario, real constraints—in energy costs, digital infrastructure gaps, and difficulties with reorganizing how work is done—could stretch the adjustment over many years. By contrast, in a faster scenario, falling costs and dramatic further improvements in AI capabilities could accelerate adoption, and the full impact on labor markets may only become visible in the next downturn.

A more disruptive scenario would raise even larger questions, which policymakers would do well to start weighing now. Three stand out. First, can AI be steered toward a more labor-friendly path? Perhaps stronger competition policy and clear rights over worker know-how could help channel the technology in a direction that complements people (Acemoglu, Autor, and Johnson 2026). Second, can taxes on AI-related profits finance income support for a large share of households? Large profits for a few firms and falling labor shares of income would add to the case for stronger social safety nets laid out in Chapter 3 and make reforms to allow tax systems to effectively capture economic rents and capital income increasingly important (Brollo and others 2024). However, if frontier firms are clustered in just a few economies, other economies may find it hard to tax AI-related profits even as AI services become both more necessary and more expensive. Third, how can countries maintain their access to frontier tools? Indeed, many are already discussing the extent to which policymakers should prioritize domestic control over infrastructure, data, models, and expertise to build "sovereign" AI.

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3. Supporting Domestic Demand in Emerging Asia: The Role of Household Consumption[1]

Emerging Asia's growth has long been driven by investment and exports. However, these engines face growing limits amid declining investment returns, slowing productivity growth, and a more fragmented global trading environment. Sustaining resilient and inclusive growth will require greater contribution from domestic demand, particularly household consumption. However, private consumption remains relatively weak despite rising incomes, reflecting strong incentives for households to save for retirement and protect themselves against income shocks. This chapter argues that stronger social safety nets can reduce precautionary saving and support consumption and living standards—especially for vulnerable households—thereby improving social cohesion, for example, by reducing the risks of old-age poverty and consumption inequality. This can be achieved at a manageable fiscal cost when reforms are well designed and embedded in medium-term fiscal frameworks.

Boosting Private Consumption to Build Resilience

Emerging Asia has historically relied on net exports and investment for growth (April 2010 *Regional Economic Outlook: Asia and Pacific*; Prasad 2011). Powered by these two, often mutually reinforcing, engines, many economies in the region have steadfastly moved from low-income to lower- and upper-middle-income status over the recent decades. However, this growth model is now facing increasing constraints. Returns on investment have declined since the Great Recession, along with increased capital misallocation (October 2025 *Regional Economic Outlook: Asia and Pacific* Chapter 3), and have not always been evenly distributed across sectors and households. Rising global trade fragmentation is also making economies more vulnerable to disruption in external demand.

Moreover, the larger role of household consumption is one reason aggregate demand tends to be more stable in advanced economies: consumption, particularly services consumption, is generally the least volatile component of aggregate demand (Stock and Watson 1999) and can therefore help reduce business cycle fluctuations and sustain domestic demand when external demand or investment weakens.

Thus, there is a pressing need for greater rebalancing toward domestic demand in emerging Asia with private consumption playing a larger role. However, household consumption remains relatively subdued relative to income growth. Had it grown at similar rates to output, private consumption would have been considerably higher today (Figure 3.1).[2] Consumption weakness is also evident after shocks, with the post-pandemic recovery in private consumption in emerging Asia having been notably more sluggish and incomplete than elsewhere (Figure 3.2).[3]

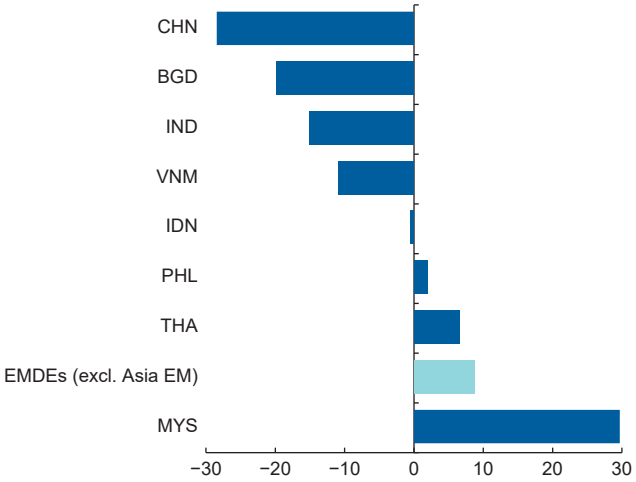
What explains the relatively limited role of private consumption in emerging Asia and what policies could strengthen it? This chapter explores the structural underpinnings of weak private consumption in emerging Asia, with a focus on its largest economies, namely Bangladesh, China, India, Indonesia, Malaysia, the Philippines, Thailand, and Vietnam. The flip side to weak consumption is the presence of strong motives for households to save. This chapter sheds light on the role of saving for retirement and precautionary saving—to address unforeseen shocks,

[1] This chapter was prepared by Diaa Noureldin (lead) with contributions from Marco Errico and Ziqiao Zhang, and research assistance from Sofia Felici, under the guidance of Andrea Pescatori.

[2] Although other emerging market and developing economies have seen private consumption increasing faster than output, it grew at slower rates relative to output in Bangladesh, China, India, Indonesia, and Vietnam. In Malaysia, per capita consumption grew faster than income, with a higher differential relative to other emerging market and developing economies' average, aided by a notable increase in household borrowing from banks.

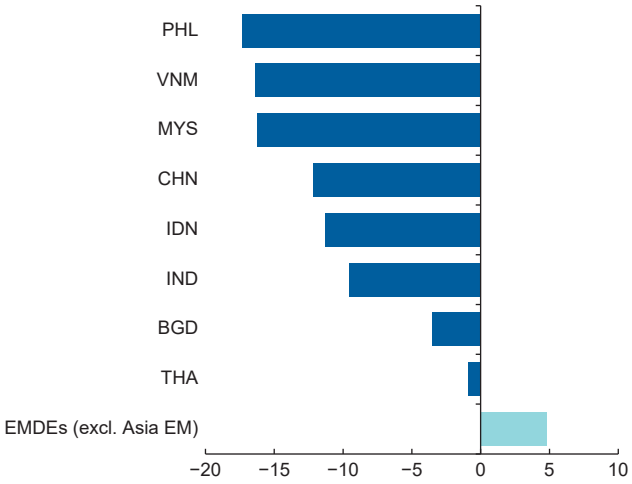
[3] On average, the share of consumption in total output today is lower than that in other emerging market and developing economies, despite a comparable share of labor income in total output (Online Annex Figure 3.1.1). Although consumption-to-GDP ratios show substantial heterogeneity, they are generally low in emerging Asia relative to peers at comparable income levels (Online Annex Figure 3.1.2).

Figure 3.1. Cumulative Consumption Shortfall Relative to Income-Parity Growth
(Percent of counterfactual consumption level)



Sources: IMF World Economic Outlook Database; and IMF staff calculations.
Note: See Online Annex Section 3.1.2 for details on the sample period and underlying calculations.

Figure 3.2. Household Consumption Recovery in Asia (2023-25)
(Deviation from pre-COVID trend, percent)



Sources: IMF World Economic Outlook Database; and IMF staff calculations.
Note: See Online Annex Section 3.1.2 for details on the sample period and underlying calculations.

such as an unexpected drop in income, losing a job, or a health shock requiring sizable out-of-pocket outlays—and its connection to thin social safety nets and informality. On these dimensions, emerging Asian economies face different challenges, reflecting heterogeneity in the factors contributing to weak private consumption. Economies with a large aging population, such as China and Thailand, need to ensure that households can still enjoy decent income levels after retirement, whereas economies with a high share of informal jobs, such as India and Bangladesh, need to cushion households against adverse income shocks.[4]

In this context, providing better insurance against adverse circumstances or old-age income risk could help support household consumption. These channels are assessed quantitatively by evaluating the impact of social safety net reforms—through retirement benefits and income support against adverse shocks—on consumption and growth, as well as their fiscal implications. The analysis shows that well-designed reform packages can raise consumption and living standards, strengthen economic resilience and social cohesion while preserving incentives to work and invest, and maintain fiscal sustainability. Such reforms would also facilitate adjustment to structural changes, including those associated with technological change such as the impact of AI on jobs (see Chapter 2).

What Drives Household Saving in Emerging Asia?

Households save for two main reasons: to finance retirement and to protect themselves against unexpected adverse events.[5] When pensions and social safety nets provide limited protection, both motives become stronger, leading households to accumulate larger saving buffers.

[4] In economies where consumption growth was relatively more robust, such as in Malaysia and Thailand, policies should focus on increasing the resilience of consumption, particularly for vulnerable and highly indebted households. Although this chapter explores the impact of policies that help households cope with income shocks, the analysis does not rule out that household indebtedness may also contribute to consumption weakness for some households.

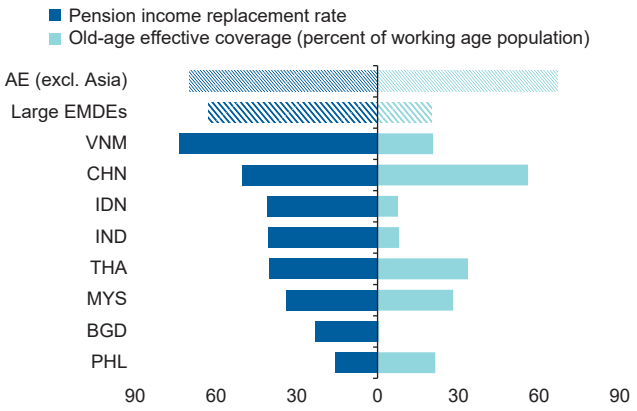
[5] Other saving motives include bequests and financing lumpy expenditures, such as housing and education; however, their importance may be more context specific. These motives may be particularly relevant in economies such as China, where households face substantial costs associated with house purchases and children's education (Chamon and Prasad 2010). In many Asian economies, family support has traditionally been an important source of old-age security, with intergenerational transfers complementing formal pensions and household asset accumulation. Evidence from National Transfer Accounts shows that Asian economies rely more heavily on family transfers to finance old-age consumption than other regions (Lee and Mason 2012). The availability of such support can also shape saving and retirement decisions: for example, evidence from China suggests that expanded pension coverage reduces reliance on children for old-age support and lowers parents' need to save for retirement (Mu and Du 2015).

How prominent are these saving motives in emerging Asia? Survey data show that saving for retirement is more important in emerging Asia than in other regions (Online Annex Figure 3.1.3), similar to earlier evidence on China. While partly reflecting the fast pace of aging in the region, saving for retirement may be driven by limited pension spending and coverage (Figure 3.3). Furthermore, pension income replacement rates—the ratio of pension income to pre-retirement earnings—fall short of those in other large emerging market and developing economies (except for Vietnam, where the generous replacement rate is met with limited coverage).

Households also grapple with high income uncertainty, strengthening their motive to accumulate buffer-stock wealth as self-insurance against unforeseen shocks, such as unemployment spells, transitory income shocks, or health shocks dictating sizable out-of-pocket expenses. Higher income uncertainty in emerging Asia partly reflects a higher incidence of informality (Figure 3.4), as informal jobs are typically more exposed to income shocks, tend to have lower job security, and do not provide benefits such as health insurance and pensions. Moreover, survey data demonstrate that personal savings play a more prominent role as a cushion against shocks in emerging Asia relative to other regions (Online Annex Figure 3.1.3).

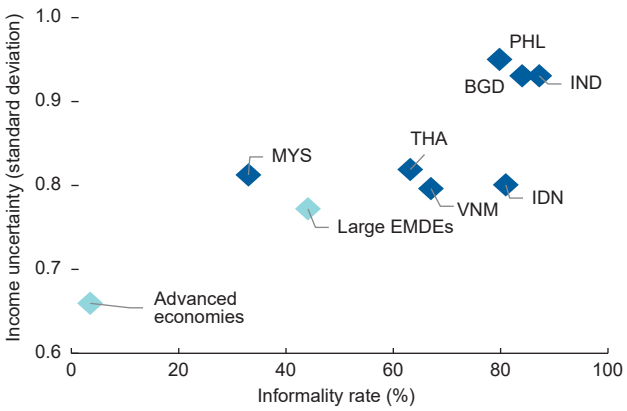
Having the ability to borrow funds can enable households not only to finance the purchase of desired goods and services, such as buying a house, but also to smooth their consumption when faced with unfavorable shocks. Thus, ease of access to credit softens the need to save for such eventualities. By the same token, when households face binding borrowing constraints, for example, because of lack of financial inclusion, this may amplify their precautionary saving motive. Even though formal account ownership is relatively widespread in emerging Asia,[6] this does not necessarily imply easy access to affordable credit. Moreover, borrowing capacity varies substantially across economies and households, particularly where borrowers lack collateral or verifiable income, limiting access to formal credit or making borrowing more costly. Thus, even if available indicators do not show that credit constraints are systematically tighter in emerging Asia than elsewhere, difficulty of accessing credit in case of an emergency can still be an important saving motive for some households. Reducing income uncertainty would mitigate the need to access credit in the first place.

Figure 3.3. Pension Income Replacement Rate and Old-Age Effective Coverage
(In percent)



Sources: Auclert and others 2025; International Labour Organization World Social Protection Report; Organisation for Economic Co-operation and Development; World Bank ASPIRE; and IMF staff estimates.
Note: Pension income replacement rates are model-implied estimates; see Online Annex Section 3.1.2 for details.

Figure 3.4. Emerging Asia Facing Higher Informality and Income Uncertainty



Sources: International Labour Organization; Luxembourg Income Study database; and IMF staff estimates.
Note: Income uncertainty is measured using micro data from the Luxembourg Income Study database; see Online Annex Section 3.1.2 for details.

[6] Survey data shows that around four out of five adults have bank accounts or accounts at a similar formal institution. At the same time, the majority save and, when needed, they also borrow from these institutions (Online Annex Figure 3.1.4).

Reforms Can Support Private Consumption and Growth at a Manageable Fiscal Cost

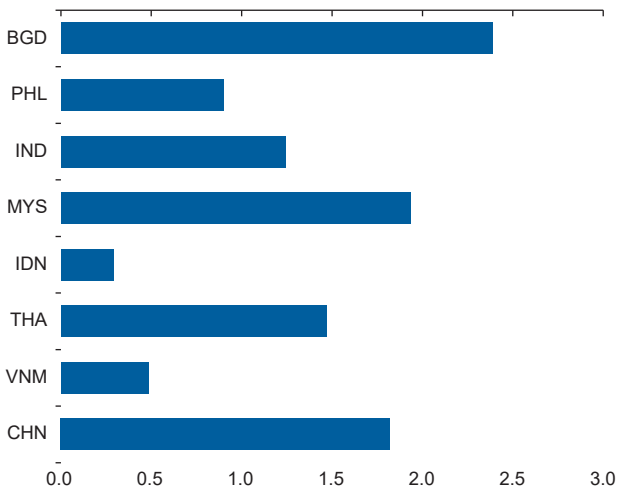
Reforms to support private consumption are assessed in terms of their fiscal implications and overall impact on growth. This is undertaken using an overlapping generations general equilibrium model that is well suited to this task.[7] Absent these reforms, demographic change would—considering low adequacy and coverage of pensions—increase the risk of old-age poverty (Online Annex Figures 3.1.5 and 3.1.6) and could depress aggregate consumption further going forward. As reforms that support consumption may have an unintended negative impact on output through lower saving and investment, the reform scenarios also include supply-side reforms aimed at supporting medium-term growth.

The first reform scenario is to protect against the risk of old-age poverty by increasing the pension income replacement rate, where emerging Asian economies are assumed to close about half the gap with advanced economies (Figure 3.3), lifting emerging Asian economies to about 58 percent replacement rate.

This reform is complemented by raising the retirement age in countries where the gap between life expectancy and retirement age exceeds 16 years, compared with 20 years in the baseline. This gap varies markedly across emerging Asia, from relatively narrow gaps in Indonesia and the Philippines to a much wider gap in China and Malaysia (Online Annex Figure 3.1.7). Any additional fiscal cost is covered by an equal split of additional labor taxes and reduction in government discretionary spending (see Online Annex 3.1 for further details).

With more generous public pensions, households no longer need to self-insure by saving as much for old age. Private consumption increases by 0.5–2.5 percent relative to the no-reform baseline, on average, over 2016–2050 (Figure 3.5). If pursued in isolation, the reform may entail an output cost: since households would save less, there would be fewer funds to finance investment, which would have a negative impact on output through lower capital accumulation. However, the scenario analysis indicates that the output cost is negligible. If, in addition to more generous benefits, retirement ages were to increase proportionally with life expectancy, the impact on output would be mitigated—overall GDP would be, on average, about 1 percent larger than the no-reform baseline. This reflects the increase in labor supply associated with longer working lives, which supports investment and, thus, labor income and output.[8] On the fiscal side, the cost of the reform is equivalent to a 0.4 percentage point of GDP increase in government spending. Moreover, given that the debt-to-GDP ratio is held at a stable level and the change in the interest-rate-growth differential, often referred to as *r-g,* is negligible, the reform is not expected to adversely affect fiscal sustainability (Online Annex Figure 3.1.8).

Figure 3.5. Scenario 1: Private Consumption
(Average annual difference from baseline, percent)



Sources: Auclert and others 2025; and IMF staff calculations.
Note: See Online Annex Section 3.1.2 for details.

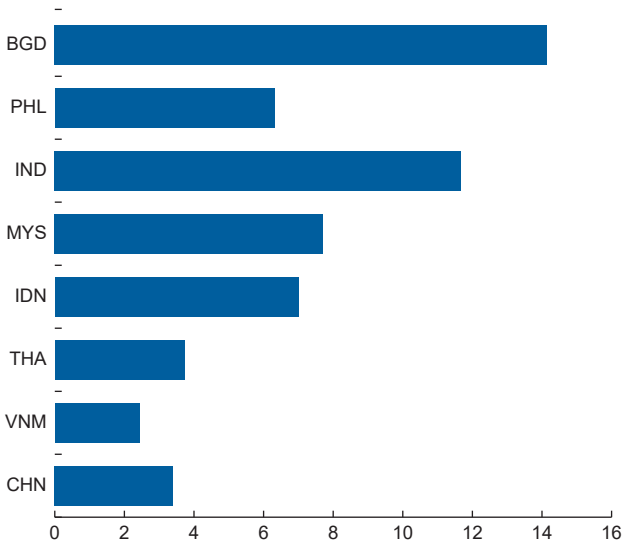
[7] See Online Annex 3.1 for the model details, and Online Annex Table 3.1.1 for country coverage.

[8] The gains would be largest for China and Malaysia, with smaller gains in other emerging Asia economies where retirement age has kept pace with life expectancy, such as in Indonesia and the Philippines.

The second reform scenario addresses the precautionary saving motive by introducing a conditional cash transfer program for households that struggle to smooth consumption when faced with adverse income shocks. Specifically, it supplements household income if it drops below the 15th percentile of the economy-wide income distribution, with the overall size of the program's fiscal spending equivalent to 1 percent of GDP.[9] This reform is complemented with labor market reforms that close half of the men–women labor force participation gap (Online Annex Figure 3.1.9). Also in this scenario, any additional fiscal cost is covered by an equal split of additional labor taxes and reduction in government discretionary spending. The two reforms operate through distinct, but complementary, channels. The guaranteed income floor reduces income uncertainty and, hence, precautionary saving, while higher women labor force participation increases labor supply and household income.

Under this reform scenario, output would be, on average, 6.4 percent higher relative to the no-reform baseline. Together, these reforms generate sizable gains in private consumption (Figure 3.6). The positive impact on consumption is notably large, because income support is targeted at low-income households, which tend to have a high marginal propensity to consume out of income. Across countries, the gains are largest where income uncertainty is high and there is greater scope to raise women labor force participation, especially in Bangladesh and India.[10,11] Similar to the first reform scenario, the second reform would not raise fiscal sustainability concerns given the small impact on *r-g* (Online Annex Figure 3.1.10), while financing the program could be supported by re-prioritizing spending items and finding efficiency savings in current fiscal spending.

Figure 3.6. Scenario 2: Private Consumption
(Average annual difference from baseline, percent)



Sources: Auclert and others 2025; and IMF staff calculations.
Note: See Online Annex Section 3.1.2 for details.

Conclusion and Policy Recommendations

The region's rapid ascent has been powered by investment and external demand, but private consumption has lagged income growth and remains subdued relative to other emerging market and developing economies. Two key factors are identified behind the subdued household consumption in emerging Asia. First, many households

[9] The program resembles similar large emerging market and developing economy programs such as Brazil's Bolsa Familia, Mexico's PROGRESA/Oportunidades/PROSPERA (discontinued in 2019), Chile's Solidario/Ingreso Ético Familiar, and South Africa's Social Grants System. Spending on these programs varies across countries in a wide range from 0.1 to about 4.0 percent of GDP. During the COVID-19 pandemic, Brazil increased cash transfers by approximately 4 percent of GDP with an additional program (Auxílio Emergencial cash transfer program), with some evidence that it had a large positive impact on sustaining private consumption and preventing a sharp output contraction (Sanches, Cardomingo, and Carvalho 2021). Some countries in emerging Asia already have in place social support programs, such as the Program Keluarga Harapan in Indonesia, Pantawid Pamilyang Pilipino Program (4 Ps) in the Philippines, the State Welfare Card Program in Thailand, and the Mahatma Gandhi National Rural Employment Guarantee Scheme in India. Some of the fiscal spending on these programs could be repurposed for the proposed program under this scenario.

[10] The gains in consumption are also broadly shared across the income distribution but are particularly pronounced among lower-income households (Online Annex Figure 3.1.11). This reflects two complementary channels. First, the conditional cash transfer, partly financed through taxation, redistributes resources toward lower-income households and provides them with greater protection against adverse income shocks. Second, higher women labor force participation raises labor supply and household labor income across the income distribution. As a result, all income groups benefit from the combined reforms, while lower-income households experience larger gains in consumption and, consequently, more improvement in living standards.

[11] The model abstracts from potential constraints on investment, which could limit the extent to which higher savings translate into capital accumulation and output growth, particularly in economies facing financial, fiscal, or infrastructure constraints (for example, Bangladesh).

save heavily for retirement because pension systems often provide limited coverage or inadequate benefits. Second, households save as protection against income shocks in environments characterized by informality, employment uncertainty, and limited social protection.

The model-based analysis shows that strengthening social safety nets would support consumption and living standards, especially for vulnerable households. Higher pensions could reduce the need for households to over-save for old age, while targeted income support programs could lower precautionary saving by providing insurance against adverse income shocks. In the absence of these reforms, there is a risk of an increase in the incidence of old-age poverty and a rise in consumption inequality.

Policies should be differentiated across countries but guided by a common principle: reduce the need for precautionary and retirement saving while preserving incentives to work, invest, and formalize. Older economies facing rapid population aging should continue to improve pension adequacy and coverage while aligning retirement age more closely with gains in longevity. In younger economies with high informality and income uncertainty, targeted income support programs can provide insurance against adverse shocks without discouraging labor supply—ideally through benefit structures that preserve work incentives (such as phase-in/flat/phase-out benefit schedules), supported by proxy means testing and digital payment systems to improve targeting and reach informal workers. By using social transfers as an entry point for income reporting and worker registration, such programs can also facilitate formalization, especially when combined with complementary reforms that simplify labor regulations and lower the costs of formal employment, tax compliance, and business registration (IMF 2021). In Asian economies facing significant infrastructure, human-capital, climate, and digital investment needs, boosting investment to address these gaps should remain a priority alongside supporting private consumption, with stronger social protection and productive investment seen as complementary rather than competing policy objectives.

Given the heterogeneity across emerging Asia in fiscal space, the scale, sequencing, financing, and design of reforms will need to reflect country-specific circumstances. Implemented gradually and embedded in medium-term fiscal frameworks, these reforms would help shift emerging Asia toward a more balanced, consumption-led growth model, strengthen domestic demand as a shock absorber, and support social cohesion as the region navigates aging, informality, and technological change.

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4. Asia-Pacific's Next Integration Frontier: Services Trade[1]

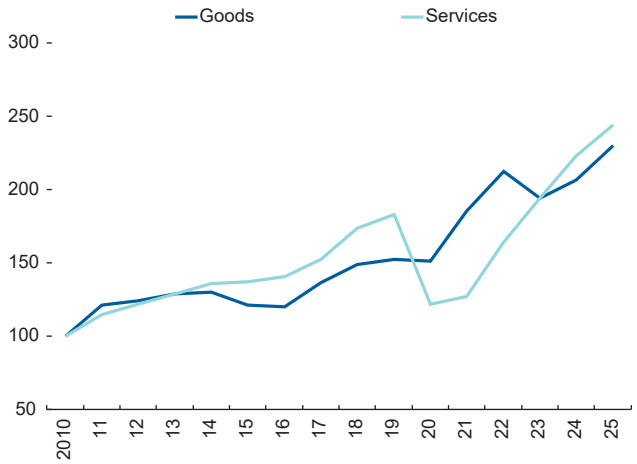
Asia and the Pacific's economic success has long been built on trade in goods. However, as digitalization expands and services become increasingly important inputs into production, services trade is becoming a new source of growth and integration for the region. Despite this potential, services trade remains less integrated within Asia-Pacific than in other regions and faces significant policy barriers. Thus, evidence in this chapter shows that reducing these barriers can generate meaningful gains in output, making services trade the region's next integration frontier.

The Growing Importance of Services Trade

For decades, deep integration into global goods trade, for example, through cross-border production networks ("supply chains"), has helped transform the Asia-Pacific region into the world's manufacturing hub, driving productivity gains, creating jobs, raising living standards, and reducing extreme poverty (October 2025 *Regional Economic Outlook: Asia and Pacific*, Chapter 2). More recently, however, geoeconomic fragmentation has led to a shifting trade landscape.

At the same time, services trade has become more important to the region, outpacing the growth of goods exports (Figure 4.1) and currently accounting for about one quarter of the region's total exports. Growing services trade reflects rising demand for services as economies develop, the increasing use of services as inputs in production, and digitalization, which has made more services tradable across borders.

Figure 4.1. Average Services and Goods Exports from the Asia-Pacific Region
(Index, 2010=100)



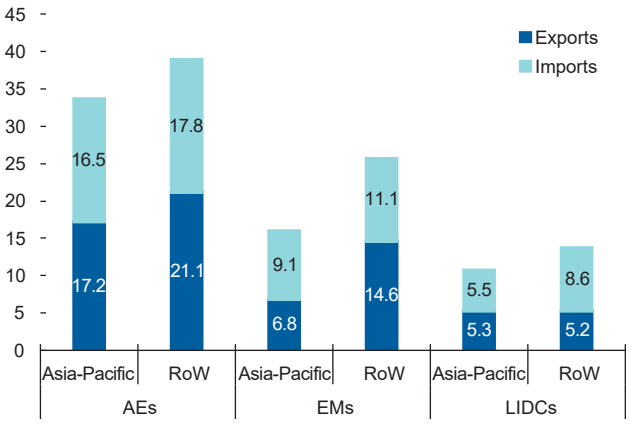
Sources: IMF Balance of Payments, International Trade in Goods (IMTS); and IMF staff calculations.
Note: See Online Annex 4.4 for details.

Services trade is crucial for productivity and growth resilience in the region. Previous work (November 2024 *Regional Economic Outlook: Asia and Pacific*, Analytical Note) has shown that modern tradable services—such as business and financial services—are among the most productive sectors in the region and could play an important role in boosting productivity growth. In addition, services matter through their role as key inputs into production, increasingly supporting competitiveness in manufacturing and global value chains. Furthermore, services can broaden export opportunities and diversify sources of growth. In some cases, services trade is less exposed than goods trade to tariffs, transportation bottlenecks, and disruptions in energy markets.

Services trade in Asia-Pacific remains smaller relative to other regions and compared with goods (Figure 4.2 and Online Annex Figure 4.3.1) and regional integration is comparatively shallow (Figure 4.3), even as services exports have expanded rapidly during the past two decades (Figure 4.1). Although a few of the region's economies have emerged as global or regional services hubs, most of the region remains under-integrated, pointing to substantial heterogeneity and untapped potential. Services trade remains less open than goods trade, owing in part to restrictive domestic regulation, which may be constraining services-based growth.

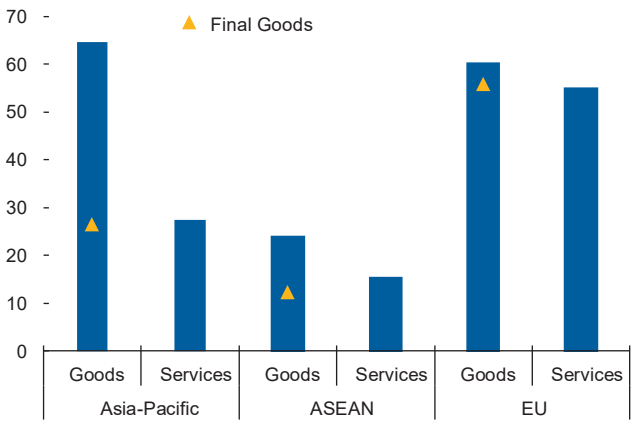
[1] This chapter was prepared by Marco Errico, Anne Oeking (lead), Anne-Charlotte Paret Onorato, Haruki Seitani, and Anoulat Sinthavy, with research assistance from Thi Chung Trinh and Keiko Mitomi, under the overall guidance of Chad Steinberg and Ingo Borchert (visiting scholar).

Figure 4.2. Services Exports and Imports to GDP
(Percent, 2023)



Sources: IMF Bilateral Trade in Services; and IMF staff calculations.
Note: See Online Annex 4.4 for details.

Figure 4.3. Regional Trade Integration
(Percent of intra-regional exports in total exports, 2022)



Sources: Asian Development Bank; Centre d'Etudes Prospectives et d'Informations Internationales; IMF Bilateral Trade in Services; and IMF staff calculations.
Note: See Online Annex 4.4 for details.

Therefore, the next opportunity for Asia-Pacific to further trade integration may lie in services. In this context, this chapter documents the region's services trade patterns, assesses the role of policy barriers, and quantifies potential gains from deeper integration.

To What Extent Are Asia-Pacific Economies Trading Services?

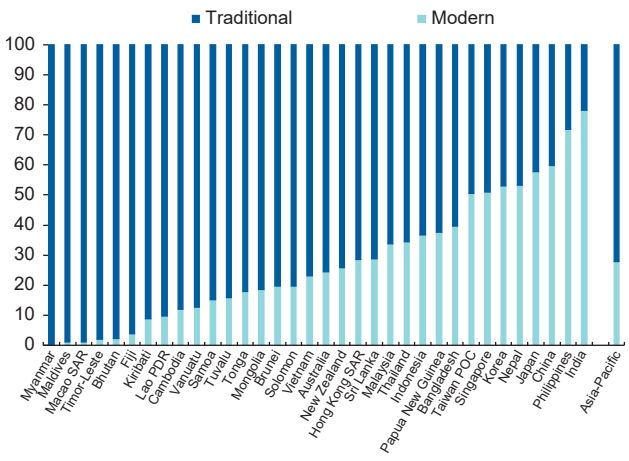
Services exports from Asia-Pacific remain concentrated in a relatively narrow set of sectors, although patterns differ considerably across economies. Traditional services still account for the largest share—on average, around 70 percent—of services exports from the region (Figure 4.4), reflecting the region's role as a major tourism destination and manufacturing hub.[2] This composition has important implications for resilience, as traditional services have proven considerably more cyclical and shock sensitive (Borchert and Mattoo 2010; Ariu 2016 and Figure 4.5). That said, the regional composition of services trade is gradually shifting toward more modern and digitally deliverable services (Figure 4.5), though unevenly across countries.

This shift matters because modern tradable services tend to be highly productive (November 2024 *Regional Economic Outlook: Asia and Pacific*, Analytical Note), digitally scalable, and easier to deliver digitally across borders, while many traditional services are more labor intensive, although differences within both groups are substantial (Online Annex Figures 4.3.2 and 4.3.3). They are also generally less dependent on physical proximity than many traditional services (Li and others 2025). Looking ahead, advances in artificial intelligence (AI) may further increase modern services tradability, although broader implications remain uncertain and dependent on countries' AI preparedness (see Online Annex 4.1 Box 4.1).

Regional integration in services remains modest and even weaker in the Association of Southeast Asian Nations (ASEAN) region, resembling shares in final goods trade (October 2025 *Regional Economic Outlook: Asia and Pacific*, Chapter 2). Asia has built some of the world's most extensive regional production networks, reflected in high levels of trade in intermediate goods. However, regional integration is considerably weaker for final goods,

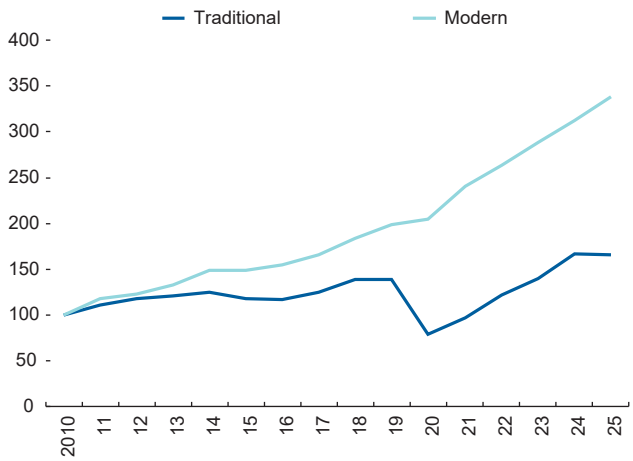
[2] Traditional services in this chapter include transport, travel, construction, manufacturing services on physical inputs owned by others, maintenance and repair services, personal, cultural, and recreational services, and government services. Modern services include insurance and pension services, financial services, charges for the use of intellectual property, information and communications technology, computer, and information services, and other business services, including professional services (in line with Baldwin and others 2024).

Figure 4.4. Share of Modern versus Traditional Services Exports in Asia-Pacific
(Percent, 2023)



Sources: IMF Bilateral Trade in Services; and IMF staff calculations.
Note: See Online Annex 4.4 for details.

Figure 4.5. Modern versus Traditional Services Exports in Asia-Pacific
(Index level 2010 = 100)



Sources: IMF Balance of Payments; and IMF staff calculations.
Note: See Online Annex 4.4 for details.

and services trade exhibits a similar pattern, also when compared to other regions such as Europe (Figure 4.3 and Online Annex Figure 4.3.4).[3] Many services exports remain oriented toward global, rather than regional, markets, especially modern services (of which only 14 percent, on average, are exported to countries within the region).

Conventional services trade statistics capture only part of international services trade. Services are increasingly traded not only directly but also indirectly across borders, both as inputs into goods production ("*servicification*") and by establishing a commercial presence abroad (such as foreign bank branches or hotel chains). Estimates in this chapter demonstrate that roughly 20 percent of total regional services exports are embodied in goods trade (compared to 12 percent in the European Union (EU) and 10 percent in other advanced economies [AEs]), whereas services through commercial presences abroad—heavily dominated by AEs and China—account for about 45 percent of total regional services exports (50 percent in the EU and 56 percent in other AEs;[4] see Online Annex 4.2.2).[5] Because services supplied through commercial presence abroad and services embodied in goods exports are generally not captured in balance-of-payments services trade statistics, standard measures may understate the role of services in regional integration. Therefore, strengthening services integration could support not only direct services exports but also the competitiveness of the region's manufacturing sectors.

What Is Holding Back Services Trade in Asia?

Although these patterns point to substantial untapped potential, they also raise an important question: if services are becoming more tradable and increasingly important to growth, why does regional integration remain relatively limited?

Policy barriers appear to be an important determinant of Asia-Pacific's integration in services trade, alongside standard exogenous factors such as geography and language (see Online Annex 4.2.4). Notably, measures of services trade restrictiveness, which capture regulations and policy measures affecting foreign services providers and cross-border services trade, show that barriers remain relatively elevated in several Asia-Pacific economies across sectors, especially among emerging markets (Online Annex Figure 4.3.5).

[3] The EU should be interpreted as a frontier benchmark rather than a directly comparable reference point, reflecting both its single market for services and greater geographic proximity.

[4] For ASEAN, services exports embodied in goods exports stand at 17 percent, and through a commercial presence at 30 percent.

[5] The reported shares are intended to illustrate relative magnitudes. They combine information from different statistical frameworks and are therefore not strictly additive.

Many barriers to services trade arise from domestic regulations rather than cross-border measures, some of which also apply to domestic providers. These can include licensing requirements, regulations that limit competition, cross-border data and transfer rules, and other measures that raise the costs of doing business across borders. Although many such measures reflect legitimate public policy objectives, better-designed regulation could achieve these objectives while making cross-border services trade less costly.

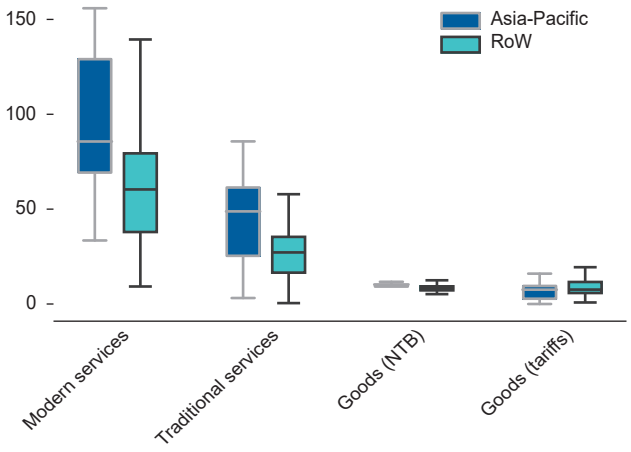
An examination reveals areas where improvements are possible for Asia-Pacific economies:

- Cross-economy differences in overall services trade barriers are driven mostly by barriers to competition and restrictions on the movement of people. In addition, for modern services, data storage and transfer rules and local-presence requirements stand out, as they can directly limit cross-border digital delivery. Across the region, foreign entry limits remain widespread (Online Annex Figure 4.3.6).
- The regional integration landscape in Asia-Pacific is characterized by a patchwork of bilateral and subregional agreements (October 2025 *Regional Economic Outlook: Asia and Pacific*, Chapter 2). Although services provisions have become increasingly common and cover a broader range of issues, commitments generally remain less extensive than in other major trading blocs.

Taken together, these barriers make it more difficult for firms to provide services across borders, limiting competition, reducing market access, and increasing the cost of trading services. The next section quantifies the economic significance of these restrictions.

Estimates of tariff-equivalent trade costs are useful to quantify costs associated with services trade restrictions. Measures such as the Services Trade Restrictiveness Index capture policy restrictions but do not directly indicate how costly they are for trade. To bridge this gap, this chapter estimates how changes in policy restrictiveness (relative to the least restricted country, globally) affect trade flows and translates those effects into tariff-equivalent trade costs, or ad valorem equivalents, that is, costs that scale proportionally to the value of the traded product (see Online Annex 4.2.4).

Figure 4.6. Services Trade Costs in Asia and the Pacific
(Percent, ad valorem equivalents of trade restrictions, 2025)



Sources: Centre d'Etudes Prospectives et d'Informations Internationales; Global Trade Analysis Project; International Trade and Production Database for Estimation; Organisation for Economic Co-operation and Development; World Trade Organization; and IMF staff calculations.
Note: See Online Annex 4.4 for details.

The estimated trade costs associated with services restrictions in the region are substantial and considerably higher relative to economies outside the region. This chapter shows that services restrictions in modern services sectors add more than 70 percent in trade costs in many Asia-Pacific economies relative to the least restrictive country, compared to about 25 percent in traditional services sectors (Figure 4.6; see Online Annex Figure 4.3.7 for alternative comparisons).[6] In the insurance, financial, and information and communications technology sectors, for almost half of Asia-Pacific economies, policy restrictions more than double the cost of trading services relative to the global benchmark. Although the least restrictive policy setting observed may not be desirable or feasible in all cases, this exercise illustrates the economic significance of the costs associated with such restrictions. Trade costs in the region are significantly higher for services than goods, suggesting that restrictions could remain an important brake on services integration, with potentially significant gains from reform.

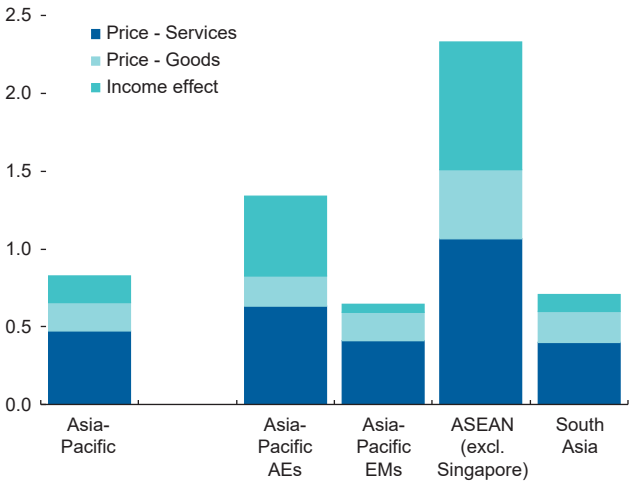
[6] This refers to the 25th percentile of the regional ad valorem equivalent distribution, such that 75 percent of Asia-Pacific economies face trade costs at least this high.

How Much Could Asia and the Pacific Gain by Deregulating Services?

How large are the potential gains from strengthening regional integration and lowering services trade restrictions? To answer this question, this chapter uses a multicountry, multisector quantitative trade model with input–output linkages to quantify the long-term effects of deeper integration on real GDP and consumption (see Online Annex 4.2.5), using the estimated tariff-equivalent trade costs (ad valorem equivalents) as an input to examine the effects of reducing services trade restrictions. The model captures complementarities between goods and services, and it accounts for production linkages and reallocation of labor and capital across sectors, allowing effects of lower services trade barriers to propagate through the economy through supply chains, in addition to their direct effects.

The first scenario quantifies gains from deep regional integration in services trade among Asia-Pacific economies. Specifically, the scenario assumes that the region's economies reduce trade barriers within the region, bringing them toward global benchmarks, while leaving barriers vis-à-vis economies outside the region unchanged. The reforms generate sizable long-term gains, increasing the long-term level of regional GDP by close to 1 percent (Figure 4.7).[7] Because the underlying policy measures are not partner specific, the results should be viewed as indicative of the potential gains from coordinated regulatory reform and regional integration. As a comparison, the estimated GDP gains are broadly equivalent to those from a region-wide reduction in goods tariffs of about 10–15 percentage points on intra-Asia trade, applied across all goods sectors (see Online Annex 4.2.5).[8]

Figure 4.7. Real GDP Gains from Opening Regionally
(Percent, Asia-Pacific–wide integration scenario)



Source: IMF staff calculations.
Note: See Online Annex 4.4 for details.

A decomposition of real GDP gains in this scenario indicates that most of the gains stem from lower prices. By reducing barriers to imports of services from regional partners, both consumers and producers can access cheaper services. For producers, the sizable gains—between 20 and 25 percent of the total—reflect positive spillovers to the manufacturing sector, which expands as lower-cost imported services reduce production costs. Finally, economies benefit from regional integration because of improved access to export markets in other Asia-Pacific economies, as stronger regional demand generates positive spillovers that support growth across the region (the income effect in Figure 4.7).

The variation in gains across Asia-Pacific economies can be explained by several factors. First, gains are smaller in economies less integrated into regional services trade or with relatively limited direct and indirect uses of imported services as intermediate inputs, as is the case for several emerging and South Asian markets. Second, gains are larger where the gap between existing and targeted barriers is greater, as larger reductions in trade costs generate stronger efficiency gains (for example, in ASEAN economies). Finally, economies with stronger services export sectors and a larger regional footprint benefit more from integration, as improved market

[7] For context, October 2025 *Regional Economic Outlook: Asia and Pacific* Chapter 2 finds long-term real GDP gains averaging about 1.8 percent from deeper regional integration through lower non-tariff barriers, suggesting that the gains estimated here are economically meaningful. Together, these findings underscore the potentially substantial benefits of deeper regional integration across both goods and services.

[8] Specifically, this refers to a uniform reduction in tariff rates. Such tariff reductions are substantially larger than existing tariffs in most intra-Asian trade relationships, reflecting that tariffs within the region are already relatively low and that remaining barriers increasingly arise outside tariffs.

access enables them to expand exports and leverage existing areas of specialization. This channel is particularly important for AEs and some ASEAN members, which have already developed strong comparative advantages in a range of tradable services and are therefore better positioned to benefit from increased regional demand.

In the second scenario, each economy unilaterally reduces services trade restrictions vis-à-vis the rest of the world, whereas other economies' barriers are unchanged. Resulting gains are comparable in magnitude to those from regional services trade liberalization, averaging about 1 percent of GDP (Online Annex Figure 4.2.4). Despite that, the two scenarios have markedly different sectoral implications. Under unilateral liberalization, manufacturing and industrial sectors expand as they are intensive services users, improving their competitiveness. However, because foreign demand for domestic services does not increase, services sectors face stronger import competition without a corresponding expansion in export opportunities. Thus, domestic services contract, the adjustment falling disproportionately on labor, given the sector's relatively high labor intensity. By contrast, gains from regional integration are more evenly distributed (Online Annex Figure 4.2.5). Reciprocal market access boosts regional demand for services exports, offsetting much of the competitive pressure faced by domestic service providers under unilateral liberalization. More broadly, liberalization beyond the region could yield larger gains still, although with a composition more tilted toward lower import costs than export-market access.

Conclusion and Policy Recommendations

The region's economic success has long been built around growth in goods trade and integration into regional production networks, but a growing role for services creates opportunities for deeper economic integration. This chapter has highlighted three main findings. First, services trade is growing rapidly, particularly in modern services, but remains less regionally integrated than goods trade. Second, policy barriers continue to impose substantial trade costs, particularly in modern services sectors. Third, reducing these barriers could generate meaningful gains in real GDP, making services trade one of the region's most promising opportunities for deeper economic integration, while strengthening manufacturing competitiveness and supporting more resilient growth.

Unlocking the potential of services trade would require domestic regulatory reforms and deeper regional integration. Easing excessive restrictions on the entry of foreign service suppliers, both firms and professionals, strengthening competition, and improving regulatory transparency could lower the cost of trading services. At the regional level, expanding services provisions in trade agreements, strengthening regulatory cooperation and technical interoperability, and reducing fragmentation across overlapping frameworks could facilitate cross-border services trade. As digitally delivered services become increasingly important, digital infrastructure and policy frameworks that support secure and efficient cross-border service delivery, including data flows, will also become more important for competitiveness. Complementary policies, including active labor market policies, reskilling and upskilling programs, mobility assistance, and targeted social protection, can help workers transition across sectors, ensure that the gains from integration are broadly shared, and strengthen public support for reform, particularly as AI reshapes demand for services tasks and skills.

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